Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach



Isle of Man National Risk Assessment

Trust and Corporate Service Providers

MARCH 2026

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In this assessment...

This assessment of the Trust and Corporate Service Providers ('TCSP') exposure to money laundering ('ML') risks builds upon the previous ML/TF (terrorist financing) National Risk Assessments ('NRAs'). The assessment highlights that TCSPs are a significant sector in the Isle of Man ('IOM'), accounting for **3.0%** of national income and employing around 2,000 people. As of December 2025, there were 91 firms providing TCSP services, with assets under administration estimated at £67 billion. TCSPs support around 17,000 companies (**80%** of which are incorporated in the IOM) and over 10,700 trusts. The sector is highly international; the majority of business is linked to customers from the United Kingdom ('UK'), United States, South Africa, and Ireland. TCSPs are fully regulated by the Financial Services Authority ('FSA'), which licenses only those TCSPs offering a full suite of regulated services. The sector is subject to robust Anti-Money Laundering/Countering the Financing of Terrorism ('AML/CFT') supervision with a strong legal and regulatory framework in place.

As an International Finance Centre ('IFC'), the IOM has an increased risk of being used to launder the foreign proceeds of crime:

This risk is heightened in the TCSP sector due to its international customer base, use of complex and multi-jurisdictional structures, exposure to foreign Politically Exposed Persons ('PEPs'), and provision of services to higher risk customers. While the sector demonstrates good adherence to AML controls and has made progress in mitigating risks, vulnerabilities remain due to the complexity of structures, increasing complexity of the sanctions landscape, and emerging technologies.

Controls have strengthened since the last assessment:

The TCSP sector has benefitted from enhancements to AML/CFT controls, more robust risk-based supervision, and targeted sector-wide reviews covering customer due diligence, monitoring, and the use of introducers. The Isle of Man FSA has continued to issue and refine guidance, give feedback, and take proportionate enforcement actions, all contributing to a strengthened control environment. ›

The overall assessment shows that the TCSP sector has a Medium High risk of money laundering, unchanged since the last assessment:

This risk is mainly driven by the international nature and size of the sector, with key threats including money laundering, fraud, tax evasion, and the use of complex structures. Cross-sectoral trends such as the growth of cross-border business, evolving payment methods, and expansion of organised crime typologies require ongoing vigilance and adaptability to counter sophisticated money laundering schemes.

The assessment identifies several recommendations:

Key recommendations include, reviewing and integrating NRA findings into business ('BRAs'), customer ('CRAs'), and technology risk assessments ('TRAs'); developing and publishing typologies in partnership with public and private stakeholders; improving data quality, especially regarding complex structures; ongoing risk-based supervision and monitoring of entry control processes; enhancing screening of controlled function holders; and addressing vulnerabilities linked to sanctions and evolving technology risks. These actions are aligned with the National Financial Crime Strategy 2024-2026 and will inform the o verarching NRA and the upcoming National Action Plan.

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Contents

Introduction from the Chair of the Financial Crime Strategic Board 06

1. Executive Summary 07

1.1 Summary of Proposed Actions 09

2. Introduction 10

3. Methodology 11

4. Data Used and Limitations 11

5. Characteristics of the TCSP Sector in the IOM 12

6. Legal, Supervisory and Law Enforcement Framework 17

7. Actions Identified in Earlier NRAs 17

8. ML Sector Threat 19

9. Core Threats 19

10. Developing and Evolving Threats 22

11. Data Sources and Information 23

12. ML Sector Vulnerability 26

13. Risks and Proposed Actions 37

Appendix I – Legal, Regulatory and Supervisory Framework 39

Appendix II – Jurisdictions Where Countermeasures Are Required and Those That May Pose a Higher Risk 40

Appendix III – Inherent Vulnerability 41

Appendix IV – Vulnerability Map 42

Appendix V – TCSP Typologies 43

Glossary of Terms 44

CHAPTER 1

Introduction from the Chair of the Financial Crime Strategic Board



Dan Davies
Chair of the Financial Crime Strategic Board and Chief Officer of Home Affairs

I am pleased to introduce this Money Laundering Risk Assessment for the Trust and Corporate Services sector in the IOM. The Financial Crime Strategic Board would like to thank the Association of Corporate Service Providers for its assistance in conducting this risk assessment and, in particular, representatives from the sector who participated in the TCSP Working Group. The sector has also been an active participant in the risk assessment of Legal Persons and Legal Arrangements.

The TCSP sector is subject to risk-based supervision in respect of Anti-Money Laundering, Countering the Financing of Terrorism, and Countering the Financing of Proliferation and has actively participated in several AML/CFT/CFP thematic reviews that the FSA has undertaken and published.

This National Risk Assessment comprehensively builds upon the previous 2020 ML and TF Risk Assessment. The FCSB recommends that the sector reviews the findings of this assessment and ensures that, where required, identified actions are adopted into business, customer, and technology risk assessments as appropriate. An NRA in respect of TF has been published. NRAs for ML (including a summary of this report's main findings) and for Proliferation Financing will be published in due course.

TCSPs form an essential part of our Island's economy, supporting the operations and growth of both domestic and international businesses based here. They are closely connected to other major sectors on the Island, such as banking, legal, and accountancy services. Because of these links, the FCSB encourages other financial industries and designated businesses to review this report and consider how its findings might apply to their own work. ■

> "TCSPs form an essential part of our Island's economy, supporting the operations and growth of both domestic and international businesses based here."

Executive Summary

This executive summary presents the principal findings from the IOM's latest TCSP sector ML National Risk Assessment, aligning with the Island's broader NRA framework.

TCSPs are fully regulated by the FSA. The FSA only licenses TCSPs which offer a full range of regulated services, including provision of directors and/or trustees and company management services, as opposed to purely acting as company formation agents.

The IOM's TCSPs provide essential support for the operation and growth of businesses by providing a range of services, including the formation, administration, and management of legal entities such as companies, trusts, and foundations. TCSPs have a crucial role in attracting international business to the Island, but also to act as 'gatekeepers' to our financial system and help the Island to prevent misuse of legal entities for ML, TF, and PF.

The TCSP sector in the IOM has consolidated in recent years, with many firms joining together in order to grow business as well as to provide efficiencies. In recent times, the number of TCSPs owned by private equity firms has increased. The sector ranges from large international businesses with over 100 employees to smaller firms with low employee numbers, often linked to accountant or advocate service providers.

Key highlights from the assessment include:

- **Sector Size and Activity:** As at 31 December 2025, there were 91 firms providing TCSP services. The sector accounts for **3.0%** of national income and employs around 2,000 people in total. In 2024, assets under administration were estimated at £67 billion. TCSPs provide services to approximately 17,000 companies (of which **80%** are incorporated in the IOM) and over 10,700 trusts. For comparison, insurance represents **16.9%** of national income, online gambling **14.2%,** and banking **8.6%.**

- **International Profile:** The IOM is an international finance centre, and the majority of TCSP business, by value and number of customers, is international in nature with a wide geographical spread by residence and nationality. The largest number of non-residential customers come from the UK, reflecting close geographic and economic ties with our neighbouring jurisdiction. There are also significant numbers of customers from the United States, South Africa, and Ireland, the latter two countries also reflecting long-standing links. The international profile increases the sector's exposure to cross-border ML threats, particularly the risk of foreign proceeds of crime entering the financial system.

- **Risk Assessment:** Using the World Bank ('WB') methodology, the overall risk of ML to the sector is assessed as **Medium High,** which is unchanged since the last assessment in 2020. The risk level is a product of the **High** threat facing the TCSP sector and a **Medium High** residual vulnerability to ML (i.e., after considering mitigating controls).

- **Inherent Vulnerabilities:** The international customer base; the use of complex (or seemingly complex), often multi-jurisdictional, structures; exposure to foreign PEPs and higher-risk customers and jurisdictions; specialist services to higher-risk sectors; and provision of registered office/agent services (as a limited service) all present areas of vulnerability. There are also some emerging and developing vulnerabilities, such as the complexity of sanctions and the increasing use of artificial intelligence ('AI') and other technologies (e.g., digital payment methods). Typologies involving ML, fraud, and tax evasion also exist. The overall TCSP risk level, which is in line with the risk rating from the 2020 NRA, reflects a continuing, and indeed, an increasing, threat landscape, rather than a reduction in the TCSP sectoral AML/CFT/CFP controls.

- **Vulnerable Segments:** The most vulnerable segments/services include the provision of registered office/agent services (as a limited service); mixed board and joint trusteeships; complex/ multi-jurisdictional structures; non-face-to-face ›

customer relationships and the use of introducers, some of which may be from higher-risk jurisdictions. However, residual vulnerability is reduced following the application of generally good AML controls by the sector.

Trends and Emerging Risks: The number of Suspicious Activity Reports ('SARs') from the TCSP sector has remained consistent over recent years. SARs from the sector relate to tax crimes, fraud, bribery and corruption, organised criminal activity, as well as suspicions of ML where the predicate offence is unknown or unidentified. The use of TCSPs forms part of a number of ongoing international ML cases under investigation; these cases are often complex and involve multi-jurisdictional structuring. Over the period 2020–2024 inclusive, 25 investigations have identified the use of TCSPs, and **30%** of those investigations in 2024/25 relate to TCSPs. Emerging threats relevant to the sector include the rising threat from Southeast Asian and UK-based organised crime groups ('OCGs').

Supervisory and Legal Framework: The IOM maintains a comprehensive legal and supervisory framework and structure. Since the previous NRA, enhancements to the regulatory regime have taken place around 'fit and proper' assessments, AML/CFT controls, and corporate governance. Ongoing risk-based supervision takes place which has recently covered topics such as customer due diligence ('CDD'), ongoing monitoring, business risk assessments, foreign PEPs, and use of introducers. These reviews have resulted in sector-wide guidance, feedback, and targeted follow-up with individual firms where required. Proportionate and reasonable enforcement actions have continued to result in strengthening AML/CFT/CFP (countering proliferation financing) systems and controls within the sector.

Data Limitations: Since 2017, TCSPs have been required to prepare and submit more data to the FSA. This data is used by the FSA to help assess ML risks and can also be useful to TCSPs to aid their own business understanding and risk assessments. The TCSP sector has also contributed significant time and data to assist with a separate NRA for Legal Persons and Arrangements. A number of specific areas are identified in this report where further data would be helpful in the future, in particular in relation to assets managed by TCSPs and the extent of the use of complex structures.

The TCSP sector in the IOM has made progress in strengthening its controls and mitigating many of the inherent risks associated with its international and domestic activities. It is also engaging effectively with the authorities via a number of channels including a TCSP-specific Financial Crime Partnership ('FCP') Group. However, vigilance remains crucial. Ongoing global trends, such as the growth in cross-border business, development and evolution of digital payment methods, and the expansion of organised crime typologies, require the sector and authorities to continually adapt their risk management strategies and operational resilience.

The TCSP sector continues to present one of the highest levels of ML risks owing to its international customer base, complex (or seemingly complex) multi-jurisdictional structures, exposure to high-risk customers (including foreign PEPs), involvement of introducers, and known typologies involving ML, fraud, and tax evasion. The risks reflect a persistent – and, in some areas, increasing – threat landscape. The higher risk rating is a reflection of the threats facing the sector and is not due to a reduction in sectoral controls, which are generally good. ■

> "The higher risk rating is a reflection of the threats facing the sector and is not due to a reduction in sectoral controls, which are generally good."



1.1 Summary of Proposed Actions

The TCSP sector ML risk assessment identifies a number of areas for improvement; these are aligned to the strategic aims from the National Financial Crime Strategy 2024–2026. The actions are outlined in Section 11 of this report and are summarised below.

- The TCSP sector should review the findings of the ML NRA and ensure that identified actions are adopted into business, customer, and technology risk assessments as appropriate. The sector should also review the Legal Persons and Arrangements Risk Assessment.

- As part of embedding the operation of the IOM Financial Crime Partnership for the TCSP sector, a programme of preparing and publishing typologies using the collective experience of public and private partners should be developed. This will help the sector to continue to improve, learn, develop, and maintain a robust control environment.

- To further enhance the understanding of complex structures, further typologies could be published and an additional risk assessment analysis of complex structures with an IOM connection might be considered. In addition, any future data outreach requests to the TCSP sector should look at seeking further detail on these structures, so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data. The TCSP 2025 Legal Persons and Arrangements ('LPA') Return did not seek details of every entity within all structures, which would have provided greater granularity on the ultimate asset, activity, and jurisdiction.

- The FSA should continue to work with the TCSP sector to ensure the data it receives is of good scope, quality, and accuracy. If required, the FSA should provide further guidance where reporting inconsistencies and anomalies are observed.

- Work should be undertaken to better understand and address areas that may present increasing vulnerability, notably the complexity of sanctions and developing and evolving technology risks (including evolving payment methods and AI).

- The FSA should continue to conduct risk-based supervision on the sector, taking into account the findings from this NRA.

- The FSA should continue to regularly monitor entry controls in order to ensure they remain relevant and appropriate in respect of emerging typologies and evolving international standards.

- The FSA should further develop the ongoing screening of controlled function holders. ■



2. Introduction

This sector report forms part of the overall ML NRA for the IOM. It builds on the findings of the 2020 ML/TF NRA (2020 NRA). It does not seek to unnecessarily duplicate the comprehensive work which supports previous NRAs and the recently published **Profile of the Isle of Man (2025)**[1] document, which sets out further information concerning the political, economic, and legal structures in the IOM.

The IOM is an IFC; the 2020 NRA identified that the main threats to the IOM arise from international ML, where the wide range of financial and non-financial services available in the IOM may be used to launder the proceeds derived from foreign predicate offending.

The types of services provided in the IOM by TCSPs may be used to conceal the proceeds of crime or to conceal or disguise the origins of those proceeds, including through international transfers of funds and the use of complex corporate structures, possibly through various service providers. Criminals may also seek to use jurisdictions which are stable and that have an established rule of law to protect their assets; this presents a further risk for the IOM.

Using the WB methodology, the overall risk of ML to the TCSP sector is assessed as **Medium High**. The risk level is a product of the high ML threat facing the sector and a medium high residual vulnerability to ML (i.e., after considering mitigating controls). Inherent vulnerabilities in products and services reflect the IOM's international customer base, the use of complex (or seemingly complex) structures of legal persons and arrangements, exposure to foreign PEPs, and provision of registered office/agent services (as a limited service). This overall risk level has remained the same since the 2020 NRA.

TCSPs provide a range of services to companies and trusts, including company formation, management, and operation. TCSPs range in size from international businesses with 100 or more employees to small businesses, which typically might be in common ownership with the practices of accountants or advocates which often service the same customer base. Services are provided to just over 17,000 client companies, of which approximately **80%** are incorporated in the IOM and **20%** elsewhere. In addition, services are provided to over 10,700 trusts. Data received by the FSA indicates that the value of assets under administration in the IOM is significant at approximately £67 billion.

HOW INDUSTRY SHOULD READ THIS REPORT

Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment ('BRA') which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this report. Given that a number of NRAs are being published over several months, it is acceptable to consider each NRA as it is published but update the overall BRA at its next formal review date. Consideration should also be given to Customer Risk Assessments (CRAs') and Technology Risk Assessments ('TRAs') and if these require updating. ■

"Businesses in the regulated sector are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this report."

1 Isle of Man

3. Methodology

The IOM is using the WB methodology for its risk assessment work except for PF where the Royal United Services Institute ('RUSI') methodology is used. The WB methodology was used for the 2015 and 2020 ML/TF NRAs. This TCSP sectoral risk assessment uses the WB ML Risk Assessment Tool,[2] which aims to:

- identify the overall threats to, and vulnerability of, the TCSP sector;
- identify TCSP services with high vulnerability; and
- prioritise action to strengthen anti-money laundering controls in the TCSP sector.

In the WB methodology, the ML risk assessment tool treats ML risk as a product of two main components: threat and vulnerability.

Data, statistics, and information used for completing the Risk Assessment Tool modules, as well as findings, interpretation, and judgement under the scope of the risk assessment, completely belong to the IOM authorities and do not reflect the views of the World Bank Group.

4. Data used and limitations

Where available, this risk assessment uses data from the years 2020 to 2024 inclusive. These five years represent the period since publication of the last NRA. The data available on TCSPs is more comprehensive now than it has ever been in the past. The availability of this data has significantly informed the risk assessment process. The LPA NRA has identified where additional data and information will be of benefit, some of which is relevant to the TCSP sector. This is addressed in the recommended actions and reference to the LPA NRA will also be helpful.

There are a number of sources informing this document, with the main ones being:

- basic and beneficial ownership ('BO') information from the Companies Registry;
- annual AML/CFT returns submitted to the FSA;
- annual TCSP statistical returns submitted to the FSA detailing staffing, breaches, complaints, outsourcing, insurance, client assets, financial information, customer base, and asset types;
- data collected from the TCSP sector to support an assessment of the risk relating to IOM legal persons and legal arrangements;
- the FSA's central back-office supervisory system (Atlas), which contains inspection and enforcement data
- data obtained from requests to industry solely for the purpose of the NRA;
- work of the Financial Crime Partnership for TCSPs
- suspicious activity report data from the Financial Intelligence Unit ('FIU');
- mutual legal assistance ('MLA') and asset recovery data from the International Cooperation and Asset Recovery Team ('ICART');
- data from the Proactive International Money Laundering Investigation Team ('PIMLIT');
- data on prosecutions and convictions from the Attorney General's Chambers.

The assessment has been prepared using informed judgement from the Island's key agencies, government, regulators, and industry representatives who participated in the TCSP working group. The working group comprised representatives from the FSA, FIU, the AML/CFT Policy Office, and a sample group of TCSP entities with differing profiles. Additional workshops were also held to assess cross-border threat at national and sectoral level.

In addition, various externally published documents have been considered, including several NRAs and mutual evaluation reports published for other relevant countries, such as the UK, Guernsey, and Jersey, to consider if any risks may affect the IOM where there are similar types of activities carried on. ■

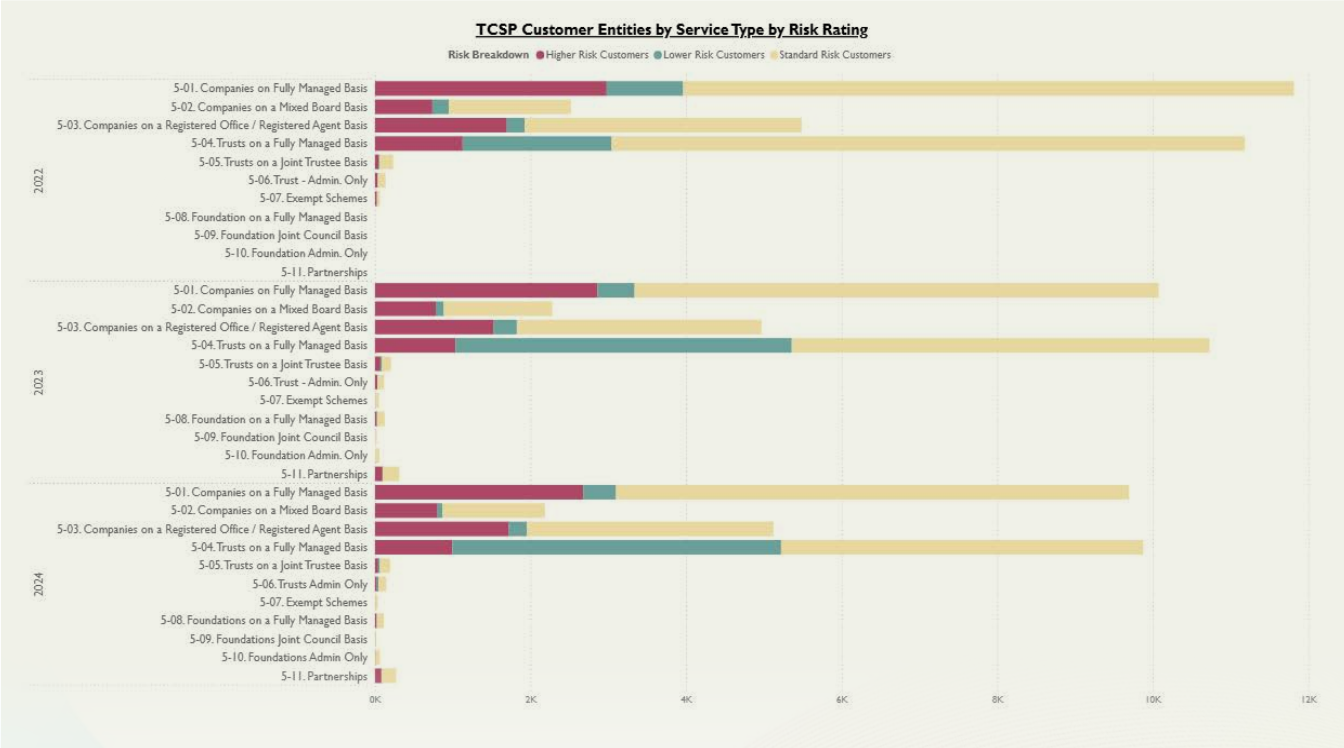
2 Guidance Manual Module 7 DNFBP Sector Vulnerability

5. Characteristics of the TCSP sector in the IOM

Regulation and supervision of the IOM TCSP sector is mature. Corporate service providers have been regulated and supervised since October 2000 and trust service providers since July 2005. Unlike in many other jurisdictions, regulation is not limited to compliance only with AML/CFT/CFP requirements, but also extends to prudential matters and conduct of business. The FSA licenses only TCSPs which offer a full range of regulated services, including provision of directors and/or trustees, as opposed to purely acting as company formation agents.

TCSPs are economically significant by way of staff employed (approx. 2,000 staff members as at 2024), number of customers (approx. 30,000)[3], and assets under administration (estimated at £67 billion in 2024), and the TCSP sector accounts for **3.0%** of national income.[4] This compares to insurance, the largest sector of the IOM economy, at **16.9%**; online gambling, which contributes **14.2%**; and banking, **8.6%**. ›

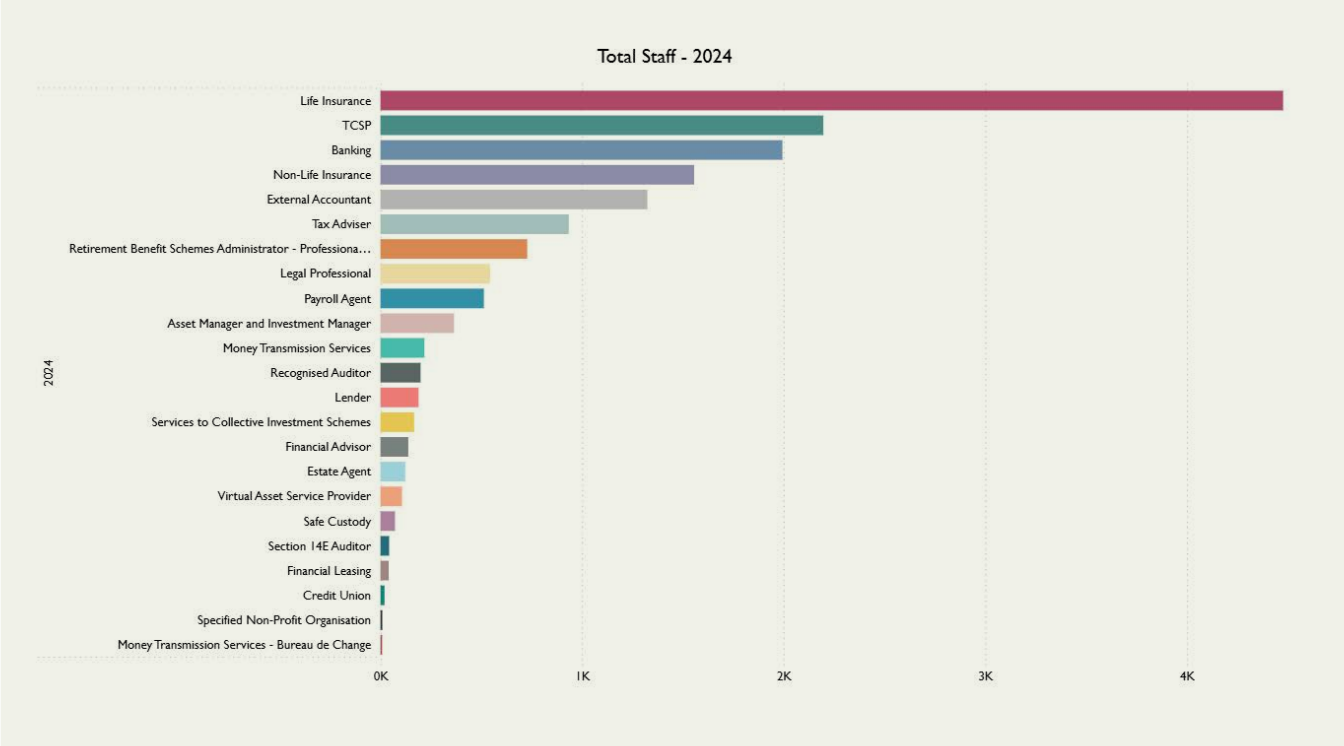
Figure 1: Different Services Provided by TCSPs Broken Down by Risk Rating for the Previous 3 Years



Source::FSA

3 www.iomfsa.im/statistics-site/tcsps/
4 IOM National Income 2022/23 Report.

Figure 2: Total Staff Numbers Across the Sectors.[5]



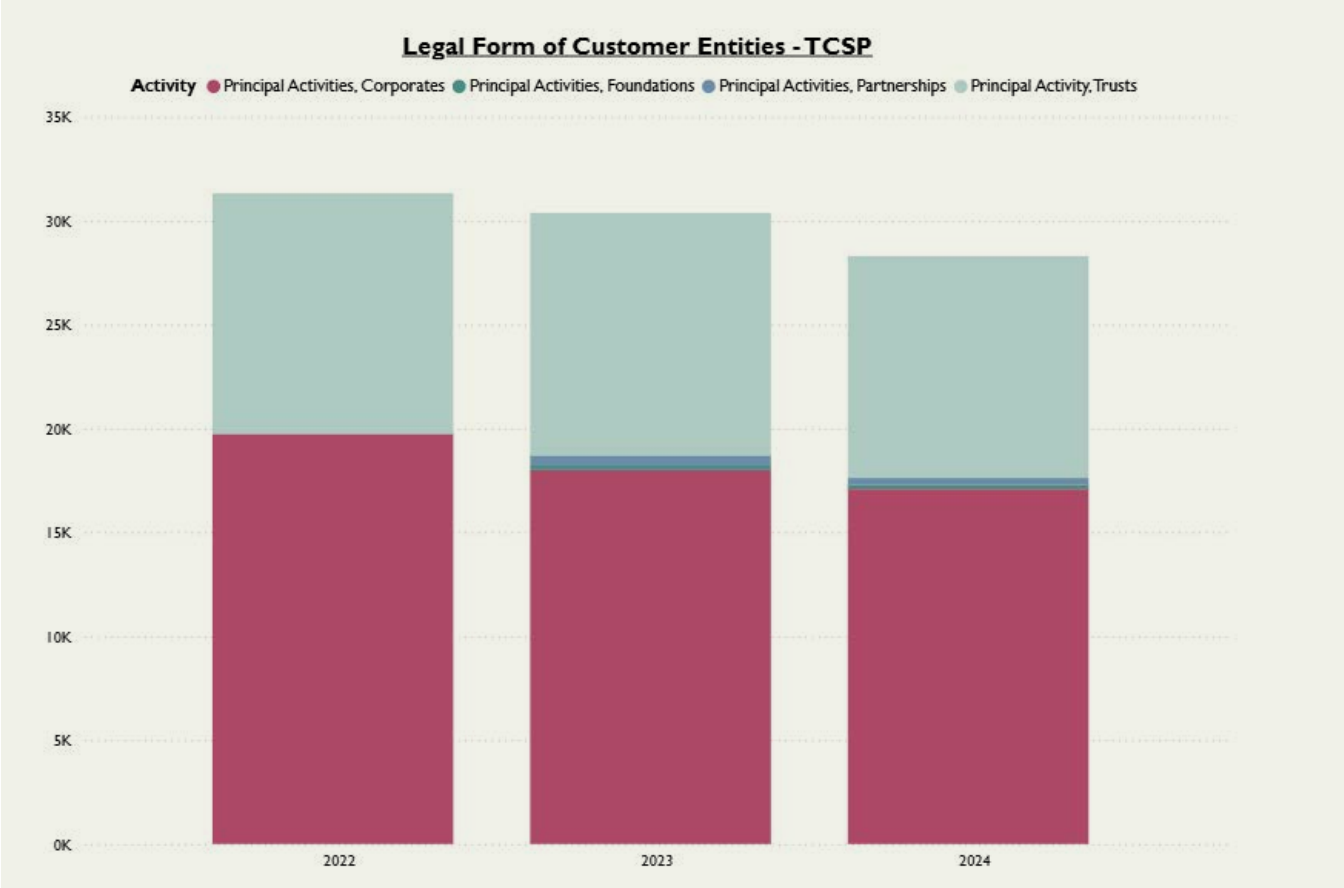
Source::FSA

TCSPs are important gatekeepers to the financial system. They are engaged in the forming and ongoing management of legal persons and legal arrangements, often accompanied by services including provision of registered office, nominee shareholders, and directorships (to private customers).

Annual AML/CFT returns for 2024 identify the provision of services to around 17,000 companies and approximately 10,700 trusts. Around **80%** are registered or established in the IOM. This compares to 30,000 companies and 20,000 trusts at the time of the 2015 NRA. The data reported in the 2015 NRA included all companies in the IOM and did not distinguish those managed/administered solely by TCSPs. Additionally, any reduction in customer structures does not necessarily equate to a loss of underlying customers, since there has been consolidation and streamlining of existing structures. ›

5 It should be noted the life insurance staff numbers are overstated due to the way staff are counted in the various group structures.

Figure 3: Breakdown of Different Legal Forms of Customer Within the Sector



Source::FSA

This consolidation has involved larger TCSPs buying up smaller firms to grow business, reduce costs, and benefit from efficiencies. The number of TCSPs has reduced from 160 in 2015 to 91 in 2025. A number of TCSPs are parts of wider groups; where this is the case, some back-office work is conducted in the IOM for group customers given that costs are lower than in some other jurisdictions.

Private equity involvement in TCSPs (as well as other sectors) has added further dynamism, which may result in the potential for increased risk taking by entities. It is important to note that any changes to control of a regulated entity must be approved by the FSA and any resulting risks (both relating to AML/CFT and other areas such as risk management and governance) would be monitored and addressed accordingly by the FSA in conjunction with the firm.

The legal persons and arrangements that are administered have control of assets, investments, and bank accounts. Assets can include:

(i) traditional instruments (equities, bonds, and cash);
(ii) physical assets (yachts, aircraft, real estate, and high-value chattels); and
(iii) complex assets (intellectual property, private equity, and digital assets).

Some TCSPs also offer accounting and tax services (which are outside the scope of this risk assessment), treasury functions,[6] and fund administration services (exempt funds utilising limited ›

6 Typically cash and liquidity management, bank relationship management, and foreign exchange management.

Class 3 licence permissions). The IOM has well-regarded aircraft and shipping registries which offer opportunities for TCSPs. A number of TSCPs also offer services to the philanthropic market, though numbers of Non-Profit Organisations ('NPOs') under administration are modest. Family office structures for ultra-high-net-worth customers are offered by around **20%** of TCSPs but account only for **0.25%** of customers. A small number of life insurance companies also have connected entities licensed as TCSPs, allowing them to wrap life insurance policies in trust structures.

Private Trust Companies ('PTCs')[7] are not widely used in the IOM, where just **3.2%** of trusts are administered in such an arrangement. Whilst there is no requirement for PTCs to be licensed by the FSA, each trust within the PTC must be administered by a Class 5 (trust services) licenceholder who is supervised by the FSA. In many cases, the PTC is also administered by a Class 4 (corporate services) licenceholder who is supervised by the FSA, and which typically supports compliance with AML/CFT requirements, such as provision of the money laundering reporting officer ('MLRO'), policies and procedures, and controls. The effect of this is that PTCs are subject to the AML/CFT Code and supervised by the FSA for compliance therewith via the service provider.

As the IOM is an IFC, many of the ultimate customers are non-resident, with a wide geographical spread by residency. After the IOM, the largest number of non-resident customers are from the UK, reflecting the close geographic and economic ties between our nearest neighbouring jurisdiction. There is also a small number of Cayman Islands, British Virgin Islands ('BVI'), and Jersey customers. Target customers are typically high-net-worth individuals ('HNWIs') and corporate and institutional customers, but the customer base also includes mass affluent and average income individuals.

Customer data obtained by the FSA indicates the total number of customers who are natural persons **(8%)** and non-natural persons **(92%). 79%** of customers are located in the IOM either due to residency or place of incorporation; otherwise, they are located in primarily the Cayman Islands **(5.5%)**, BVI **(3.8%)**, Jersey **(1%)**, and South Africa **(0.8%)**. This is consistent with the legal persons and arrangements data.

Figure 4: Customers by Jurisdiction

Country	2022	Country	2023	Country	2024
Isle of Man	75.7%	United States Virgin Islands	0.5%	Isle of Man	79.3%
United Kingdom of Great Britain and Northern Ireland	6.7%	United States of America	0.9%	United Kingdom of Great Britain and Northern Ireland	5.5%
Cayman Islands	4.6%	United Kingdom of Great Britain and Northern Ireland	7.1%	Cayman Islands	4.0%
British Virgin Islands	4.4%	South Africa	0.8%	British Virgin Islands	3.8%
Jersey	1.1%	Jersey	1.0%	Jersey	1.1%
United States of America	0.9%	Isle of Man	75.6%	South Africa	0.8%
South Africa	0.8%	Ireland	0.7%	United States of America	0.8%
Guernsey	0.6%	Guernsey	0.6%	Guernsey	0.6%
Ireland	0.5%	Cayman Islands	4.2%	Ireland	0.5%
Malta	0.4%	British Virgin Islands	3.2%	Bahamas	0.3%
Total	**95.8%**	**Total**	**94.7%**	**Total**	**96.7%**

Source::FSA

As outlined above, due to the close geographic and economic ties, **37%** of ultimate beneficial owners (UBOs) by residency are attributed to the UK, with the next most significant country of residency being the IOM **(12%).** There is also a small number of Irish (**7%**), South African (**5%**), and American **(3%)** UBOs. ›

7 PTCs are formed for the specific purpose of acting as trustee to one or more trusts – usually serving a single family or closely related group. Ownership is often held by family members or family trusts.

Figure 5: UBO by Jurisdiction

Country Name	2022
United Kingdom of Great Britain and Northern Ireland	43.98%
Isle of Man	9.71%
South Africa	5.66%
Ireland	5.02%
United States of America	2.38%
United Arab Emirates	2.18%
Switzerland	1.79%
Israel	1.38%
Kenya	1.33%
Nigeria	1.11%
TOTAL	**74.5%**

Country Name	2023
United Kingdom of Great Britain and Northern Ireland	39.62%
Isle of Man	14.29%
South Africa	5.55%
Ireland	5.49%
United States of America	2.65%
United Arab Emirates	2.09%
Switzerland	1.85%
Kenya	1.40%
Monaco	1.21%
Israel	1.16%
TOTAL	**75.3%**

Country Name	2024
United Kingdom of Great Britain and Northern Ireland	37.00%
Isle of Man	11.79%
Ireland	7.29%
South Africa	4.51%
United States of America	3.28%
United Arab Emirates	2.54%
Switzerland	2.17%
Israel	1.58%
Monaco	1.53%
Kenya	1.52%
TOTAL	**73.2%**

Source::FSA

The IOM continues to attract a broad spectrum of overseas customers, owing to a combination of strategic location, regulatory robustness, and commercial appeal. However, anecdotal feedback indicates that, whilst organic growth from existing customers and referrals is steady, TCSPs are needing to work harder to attract new "traditional" business from the broader market. There has also been reduced activity in yachting and aviation. There is potential, therefore, for some TCSPs to increase their risk tolerance in pursuit of revenue or look further afield for business. Recently, TCSPs have also contributed towards driving innovation, particularly with Finance IOM, which actively supports new ideas and emerging business models. As a consequence, a number of TCSPs are now concentrating on offering corporate services relating to online gambling and virtual asset service provider entities. ■



6. Legal, Supervisory and Law Enforcement Framework

There is a comprehensive legal, supervisory, and enforcement framework for designated non-financial businesses and professions ('DNFBPs'), including TCSPs, in the IOM (which are regulated as financial institutions ('FIs') in the IOM but are assessed under the World Bank Model for DNFBPs). Section 10 (ML Vulnerability) below addresses the AML/CFT legal framework, supervision, sanctioning, and entry controls.

See **Appendix I** and the **Isle of Man in Profile**[8] for further details regarding the relevant legislation, guidance, and other published documents.

7. Actions Identified in Earlier NRAs

Both the 2015 and 2020 NRAs identified the rating for the TCSP sector as Medium High risk for ML.

While no critical or urgent shortcomings were identified in the 2020 NRA, a number of vulnerabilities were highlighted for the sector to be cognisant of, including:

- the use of TCSPs to provide nominee shareholder activities within complex corporate structures, obscuring identification of the true beneficial owner;
- supply of services, including corporate vehicles, for use in international trade with the risk that those vehicles could be used to carry out one or more of the components related to trade-based money laundering;
- use of high-value assets, such as property, yachts, and aircraft, by HNWIs and PEPs seeking to invest the proceeds of corruption;
- the misuse of vehicles and structures to evade tax;
- seemingly superfluous complex structures and arrangements needing to be treated with caution and the nature and activities of the customer companies and trusts, and the location of those activities well understood.

The NRA noted the importance of TCSPs being aware of these vulnerabilities and ensuring that full customer due diligence ('CDD') was in place, including source of wealth ('SOW') in line with the AML/CFT Code.

The NRA in 2015 called upon the FSA to:
(i) examine its use of sanctions across all sectors to ensure that they are used appropriately and on a timely basis;
(ii) undertake a more detailed survey of CDD gathered to support its assessment of the availability of reliance ID evidence; and
(iii) collect additional information to support risk assessments.

Since the last NRA, risk-based supervision has continued to evolve. Specific work has been undertaken by the FSA to evaluate the scope of risk faced by TCSPs. For example, the FSA undertook a thematic exercise between 2021 and 2023 to assess AML/CFT/CPF preventive measures and controls that firms, including TCSPs, apply in respect of foreign PEPs. More recently, the FSA has considered compliance of the sector with the AML/CFT Code in respect of BRAs and compliance with the application of targeted ›

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financial sanctions. This thematic work has been undertaken alongside full-scope risk-based inspections which are, in part, informed by data from the AML/CFT return. Section 10 outlines other enhancements to the FSA's supervisory model.

The FIU was tasked with:

(i) identifying deficiencies in the quality and quantity of reporting by the sector;

(ii) providing more guidance, training, and feedback across all sectors; and

(iii) developing and publishing typologies specifically for the IOM.

The FIU has enhanced the quality of reporting by the sector as well as its training, feedback, and guidance across all sectors, as outlined in the previous risk assessments.

Following establishment of the FCP for TCSPs, that group reviewed the threats and vulnerabilities identified in the 2020 NRA. **Figure 6** below sets out a summary, with further information contained in **Section 9** (ML Sector Threat) and **Section 10** (ML Sector Vulnerability).

Figure 6: Summary of Key Vulnerabilities and Threats

The international nature of business	Threat/Vulnerability Level
Much of the business is conducted cross-border, often using introducers and non-face-to-face channels. The sector may utilise complex (or seemingly complex) structures created by local or external TCSPs, which can facilitate illicit activities. Verifying source of funds (SOF) or wealth can be challenging, especially with evolving technology and use of virtual assets. Firms may also face risks from criminals using citizenship by investment to conceal identities. These vulnerabilities enable criminals to disguise or transfer large sums, commit identity theft, evade taxes, bypass sanctions, and obscure beneficial ownership through intermediaries.	Increased threat Increased vulnerability
High-risk customers, including foreign PEPs (linked to sanction regimes) Providing services/products to certain markets or customer groups such as PEPs and Commercially Exposed Persons (CEPs) can heighten the risk of TCSPs receiving and holding the proceeds of bribery, corruption, or other illicit activity, especially where higher-risk jurisdictions may be involved. The use of corporate structures can further increase these vulnerabilities, making it more difficult to identify the true source or ownership of funds. Sanctioned states, entities, and individuals who are PEPs, or connected to PEPs, use products and services to layer illegitimate money and/or facilitate transactions which are prohibited by international sanction regimes. TCSPs should also exercise caution in placing too much trust on controls within introducers, particularly those that may be a professional enabler.	Increased threat Stable vulnerability
The level of attempts to hide or disguise Beneficial Ownership With the use of complex structures and the use of nominee shareholders, it may be difficult to establish the true beneficial owner of a firm as well as the SOF and activities of the entities involved. This can be exacerbated by shelf companies that give the sense of a longer incorporation date.	Stable threat Stable vulnerability
The use of technology (including virtual assets) Not all TCSPs may have sufficiently robust technology to help prevent and detect ML (monitoring, screening, changes in customer profile and behavior) and/or systems need to be better configured. There are emerging threats from deepfake technology (creating realistic but fake video and audio recordings of individuals that can trick verification systems) and sophisticated identity fraud techniques. Increased use of virtual assets by corporate clients may complicate traceability and compliance. Difficulties in understanding activity on blockchain networks/decentralised finance platforms can cause problems for understanding SOF/SOW.	Increasing threat Increasing vulnerability
Ongoing monitoring of customers TCSPs may remain vulnerable to potential weaknesses in their ongoing monitoring systems, including failure to identify changes to client profiles and patterns of activity, gaps in customer risk assessments, and keeping abreast of SOF/SOW where this information might be very historic.	Stable threat Stable vulnerability

8. ML Sector Threat

The overall ML threat to TCSPs has been assessed as High. The threat level reflects multiple factors, such as known cases and patterns affecting the sector both domestically and internationally, as well as an increased threat environment where organised criminal groups use products and services from a number of sectors, including TCSPs, to hide the source of illegal funds and help integrate them into the financial system.

The overall national threat of ML is assessed as **Medium High.** This is greater than national TF threat, which is assessed as **Medium Low.**

The IOM's cross-border threat assessment concludes that the Island is at threat from criminals who will try to work with professional enablers to give themselves the illusion of legitimacy. This conclusion is consistent with the UK, where it has been identified that it is almost certain that professional enablers facilitate abuse of Companies House processes.

9. Core Threats

As the IOM is an IFC, the TCSP sector primarily services non-resident customers. This cross-border profile means that assets often originate from outside the IOM and related predicate offences typically occur overseas, with the IOM used to layer criminal proceeds (making use of multi-jurisdictional and/or complex structuring). Core threats arise from fraud and theft, tax and excise evasion, bribery and corruption, and organised crime activity.

The UK 2025 ML/TF NRA highlights that companies identified in ML cases in that jurisdiction are frequently incorporated in jurisdictions with close ties, including the Crown Dependencies. They see complex arrangements linked to high-value overseas predicate offences, including corruption, fraud, drug trafficking, and tax evasion.

In particular, tax structuring by professional intermediaries and company and trust formation agents can be attractive to persons seeking to evade, avoid, reduce, or defer the payment of taxes through aggressive tax planning strategies. TCSPs may be at risk of being used in these strategies and generally, in such instances, the tax offence will be committed outside of the IOM or the taxes avoided will be in a jurisdiction other than the IOM. In practice, it can be difficult to pursue perpetrators of criminal tax offences in other jurisdictions or close down non-criminal tax avoidance schemes in other jurisdictions.

Although now less prevalent within the Island, some TCSPs may continue to be identified as being involved in a particular form of aggressive tax planning, offering disguised remuneration schemes. Such schemes are considered tax avoidance in the UK, which is home to most of the persons targeted by these schemes. Whilst the IOM has a comprehensive framework of tax treaties aimed at supporting transparency through information exchange, the threat posed by such schemes/forms of aggressive planning has evolved, so the full extent of the threat cannot be accurately estimated by the authorities. That said, in May 2025, the IOM's Treasury Minister and the UK's Secretary to the Treasury agreed to joint working to crack down on promotors of tax avoidance schemes. The joint statement acknowledged the UK and the IOM's long-standing history of collaboration in the fight against tax avoidance and evasion but recognised the need to go further and noted the UK Government's ongoing consultation on steps to crack down on promotors of marketed tax avoidance schemes. There was also an agreement to explore ways to further enhance information flows, joint working, and other ways in which targeted benefits for both jurisdictions can be achieved.

In 2018, it was estimated that companies and trusts established in the IOM owned around **12%** of UK real estate owned by non-UK companies. Generally, investment in real estate is often ›

cited as a ML typology. Ownership of real estate by foreign companies, especially high-end property in the UK, remains under intense scrutiny given concerns that real estate is a highly attractive asset for investing the proceeds of foreign corruption.

Information is not available on the number of companies that may be vulnerable to trade-based ML (i.e., those at risk of manipulation of trade transactions). However, the number of trading companies administered by IOM TCSPs is not significant, therefore potentially limiting the threat of domestic entities being used to carry out trade-based ML.

Links with foreign PEPs (**93%** of PEPs within the sector are foreign) may elevate the threat of bribery and corruption to which the sector is exposed, particularly as some of the foreign PEP exposure, both by residency and nationality, involves higher-risk jurisdictions (List B countries). Although this threat is longstanding, the combination of fast-evolving markets and increasingly sophisticated criminal typologies creates enhanced opportunities to move and obscure illicit funds. ›

Figure 7: Population of PEPs by Residency and Nationality

PEPs by Nationality

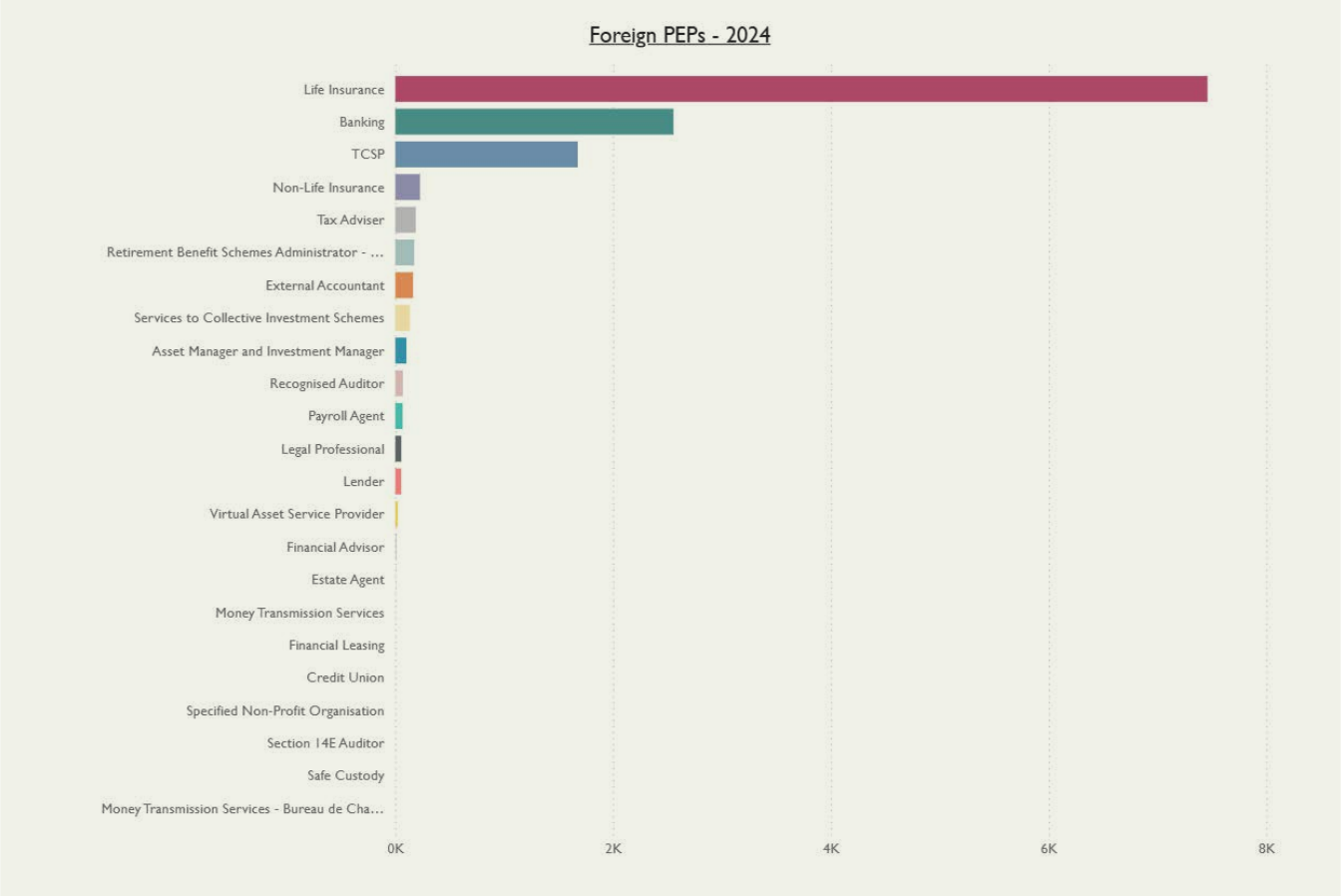
Country Name	2022	Country Name	2023	Country Name	2024
United Kingdom of Great Britain and Northern Ireland	20.20%	United Kingdom of Great Britain and Northern Ireland	17.75%	United Kingdom of Great Britain and Northern Ireland	19.02%
Saudi Arabia	10.33%	Saudi Arabia	12.51%	Saudi Arabia	10.20%
Nigeria	4.42%	Nigeria	4.25%	Nigeria	4.05%
Bahrain	3.96%	Bahrain	3.26%	United Arab Emirates	3.94%
South Africa	3.44%	Kuwait	3.26%	India	3.22%
United Arab Emirates	3.44%	India	3.20%	Bahrain	3.04%
India	3.33%	United Arab Emirates	3.03%	Ireland	2.68%
Kuwait	3.10%	Qatar	2.68%	United States of America	2.39%
Qatar	2.64%	United States of America	2.50%	Kuwait	2.21%
Ireland	2.47%	Ireland	2.21%	Lebanon	2.21%
TOTAL	**57.3%**	**TOTAL**	**54.7%**	**TOTAL**	**53.0%**

PEPs by Residency

Country Name	2022	Country Name	2023	Country Name	2024
United Kingdom of Great Britain and Northern Ireland	18.94%	United Kingdom of Great Britain and Northern Ireland	16.51%	United Kingdom of Great Britain and Northern Ireland	16.21%
Saudi Arabia	9.36%	Saudi Arabia	11.38%	Saudi Arabia	9.56%
United Arab Emirates	6.26%	United Arab Emirates	5.83%	United Arab Emirates	7.17%
Bahrain	4.59%	Nigeria	4.38%	Nigeria	4.20%
Nigeria	4.54%	Bahrain	3.97%	Bahrain	3.44%
South Africa	3.44%	Isle of Man	2.92%	South Africa	3.15%
Kuwait	3.04%	Qatar	2.74%	United States of America	2.92%
Isle of Man	2.93%	China, Hong Kong Special Administrative Region	2.57%	Isle of Man	2.80%
Qatar	2.70%	Kuwait	2.57%	China, Hong Kong Special Administrative Region	2.74%
China, Hong Kong Special Administrative Region	2.41%	United States of America	2.39%	Kuwait	2.51%
TOTAL	**58.2%**	**TOTAL**	**55.3%**	**TOTAL**	**54.7%**

Source::FSA

Figure 8: Summary Information Comparing the Sector's Foreign PEPs Exposure with that of Other Sectors



Source::FSA

10. Developing and evolving threats

The core threats outlined above can be exacerbated by developing and emerging threats.

For example, a developing threat in relation to the sector is the increasing complexity of sanctions regimes relating to persons/goods and technologies. Since the last NRA in 2020, there has been a significant global increase in the use of targeted financial sanctions, and restrictions on the supply of goods and technologies, against countries, including Russia and Belarus, and in relation to cyber-crime and human rights abuses. The IOM implements sanctions in line with those imposed in the UK, which has seen a large increase in the number of persons subject to asset freezes, particularly in relation to the Russia regime.

The use of professional services to construct complex corporate structures to disguise beneficial ownership and hide assets to evade sanctions is a known global threat. As the TCSP sector in the IOM forms a large proportion of the economy compared with some other jurisdictions, this threat is higher for the IOM. Techniques used include;

(a) the use of complex corporate structures, using shell companies, trusts, nominee directors and moving assets to jurisdictions that may have weaker AML/CFT controls
(b) registering companies, assets and trusts in the name of relatives of proxies, and/or seemingly reducing the level of ownership in corporate structures by selling shares to family members, trusted proxies or business associates
(c) using connections with money-laundering networks or organised crime groups to obscure beneficial ownership

As a result, TCSPs are required to implement extremely robust onboarding and ongoing monitoring processes, including sanctions screening, to fully understand their customer risk.

Furthermore, considering emerging threats, the development and evolution of digital payment methods (e.g. virtual assets) has resulted in faster cross-border transactions, which may further obscure, or even anonymise, the original SOF; this has come to fruition in some recent cases under investigation.

During 2024/2025 PIMLIT, supported by the wider IOM Constabulary ('IOMC'), has conducted a number of major operations, with assistance from other agencies. The cases are complex, with multi-jurisdictional structuring (including shell companies) and a range of financial products being utilised to hide criminal proceeds. There has been a notable increase in the use of virtual assets, in particular USDTether, to move illicit funds as part of the laundering process.

Many of these investigations have identified the involvement of a TCSP within the case; examples include a case which is an investigation into the use of a TCSP as a possible vehicle for ML, and other cases relate to directors of TCSPs with high risk appetites that have not been supported by adequate mitigating risk measures, such as appropriate CDD and ongoing monitoring measures. In these cases, TCSP involvement has enabled the setting up of complex structures which are suspected of being used for ML purposes. ›

"TCSPs are required to implement extremely robust onboarding and ongoing monitoring processes, including sanctions screening, to fully understand their customer risk."

The Island is also facing challenges from Southeast Asia organised crime groups which are becoming increasingly sophisticated and expanding their jurisdictional reach. There is evidence that the IOM has been subject to infiltration by criminals[9], and organised immigration crime (including human trafficking) and transnational organised crime associated with online gambling, predominantly Southeast Asian-facing, are providing new challenges in the TCSP sector and associated businesses; this includes a number of TCSPs that may concentrate on provision of services to the Online Gambling sector.

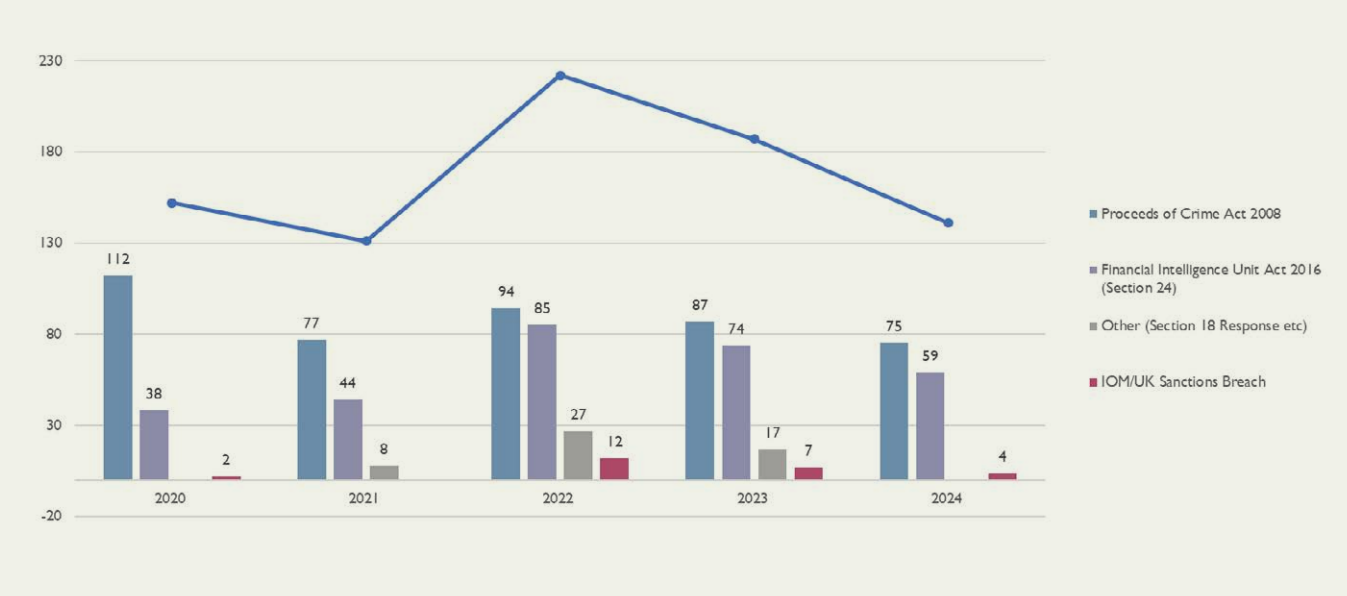
The IOM is at risk of companies and TCSPs being used to acquire high-value properties related to the Online Gambling Sector using the proceeds of crime. The publication in May 2025 by Government of the "National Statement on eGaming and Financial Crime: Activities, Risk Appetite and Mitigation" outlings the key risks, concerns, and red flags associated with online gambling and their potential relevance across several sectors, including TCSP. The Statement clarifies the national risk appetite for online gambling and identifies considerations for any other business sectors that may be exposed to activity linked to online gambling. A broader National Risk Appetite Statement covering financial crime across all sectors is expected following publication of the 2026 NRA.

11. Data Sources and Information

SUSPICIOUS ACTIVITY REPORTS

SARs made by the TCSP sector have remained consistent, with the highest number in 2022, likely due to the implementation of the UK Russian Sanctions Regime. The sector also frequently makes use of the Section 24 provision within the Financial Intelligence Act 2016 to make additional reports to the FIU. SARs received from the sector are of good quality and have improved since the previous NRA, particularly in terms of narrative and clearly defining the basis for suspicion. ›

Figure 9: TCSP SARs Split by Legislation



Source::FIU

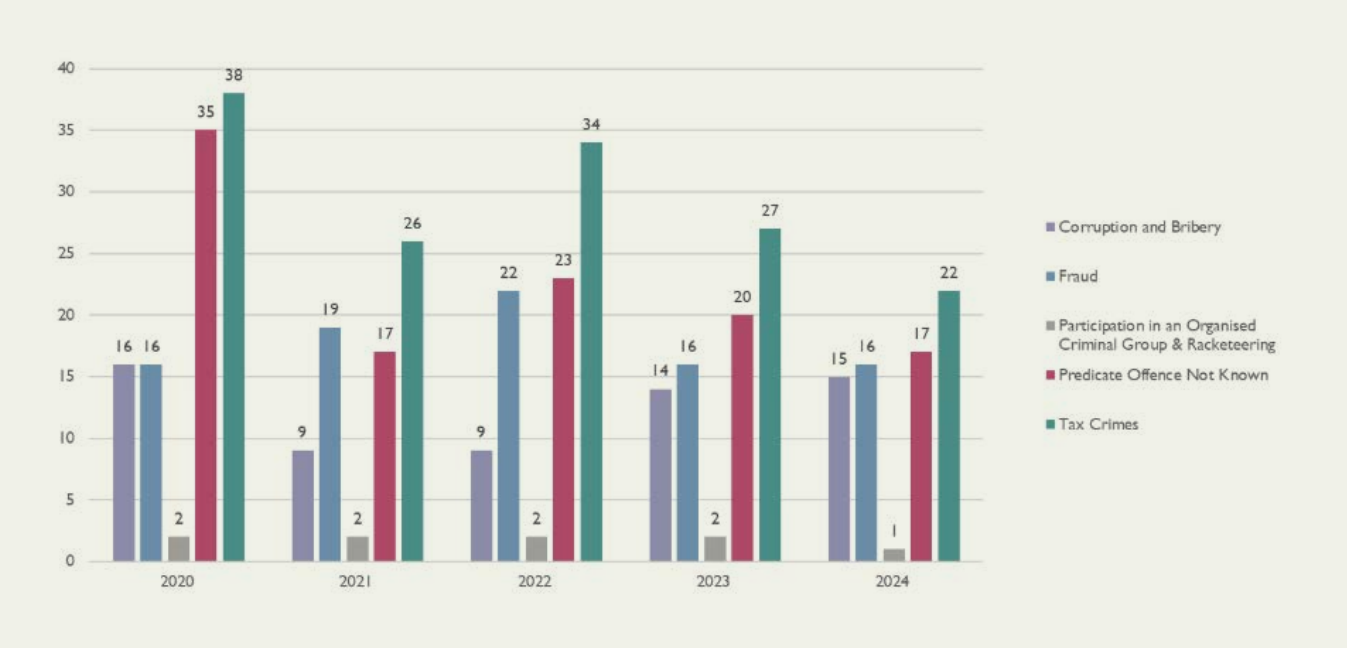
9 IOM National Statement on eGaming and Financial Crime: Risk Appetite and Mitigation (May 2025)

N.B. In **Figure 9**, SARs submitted under the category "Other (Section 18 Responses etc.)" is zero for both 2020 and 2024. This is due to Themis process changes implemented in 2021 to bring Section18 responses into Themis as a separate disclosure, then refinements made in 2023 to streamline this to bring them into the records from which they were made and improve accuracy of SAR statistics.

A high proportion of SARs submitted by the sector under the Proceeds of Crime Act 2008 ('POCA') contain actionable intelligence, with over **60%** resulting in disseminations locally or abroad.

Most SARs made by TCSPs in the period from 2020 to 2024 relate to tax crimes, fraud, bribery and corruption, and organised criminal activity, as well as suspicions of ML where the predicate offence is unknown or unidentified. Some typologies are provided at the end of this report **(Appendix V)** relating to laundering of the proceeds of tax crimes, corruption, and environmental crime.

Figure 10: TCSP SARs Split by Top 5 Suspected Predicate Criminality



Source: FIU

N.B. "Predicate Offence Not Known" is used where the reporter believed activity to be suspicious and indicative of money laundering but has not been able to identify the underlying predicate criminality type.

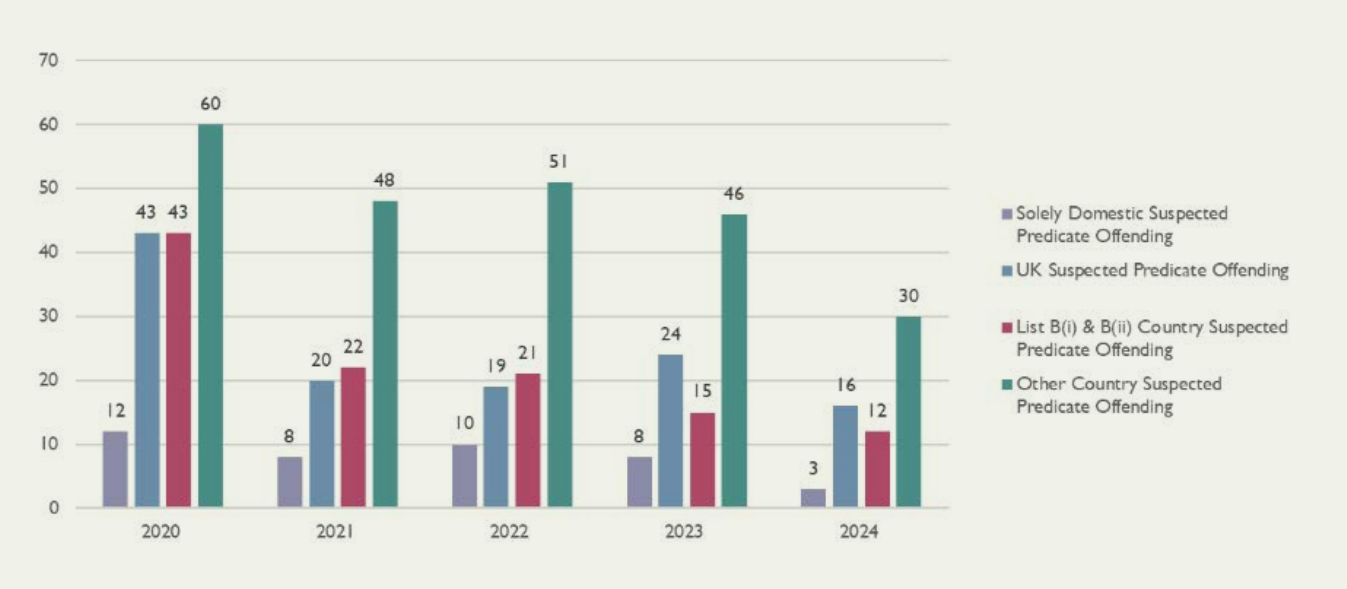
INTERNATIONAL EXPOSURE

In **Figure 10,** it is observed that the tax-related suspicion reflects the highest identified predicate criminality, followed by fraud, and corruption and bribery. This trend is consistent with the IOM NRA, which identifies tax offences as a dominant threat due to cross-border activity, complex legal structures, and multi-jurisdictional exposure typically associated with an IFC. TCSPs are well-placed to identify this risk through their visibility over beneficial ownership, SOW, and ongoing administration of corporate and trust arrangements.

Around **10%** of SARs reported by the sector are linked solely to IOM predicates, around **15%** are linked to UK-only predicates, around **15%** are linked to both IOM and UK predicates, and the rest are linked to other jurisdictions, including a large number ›

of List B countries. This distribution aligns with the risk profile associated with the IOM's status as an IFC and reflects the international nature of business conducted within the TCSP sector. Suspected criminality occurring outside the IOM largely relates to fraud and tax crimes (UK and List B Countries) as well as bribery and corruption (List B Countries).

Figure 11: TCSPs SARs Country - Criminality



Source: FIU

N.B. **Figure 11** includes only those SARs where the country associated with the suspected criminal activity is known and has been specified by the MLRO. More than one country can be specified in this field.

Most incoming requests for mutual legal assistance ('MLA') relate to the Banking sector, followed by TCSPs, with the latter accounting for around **25%** of requests (12 received for TCSPs in 2024 compared with 18 for banks). Almost half of the requests are received from Europe (**46%**), the UK (**18%**), North America (**10%**), South America (**8%**), Africa (**8%**), Asia (**8%**), and the Middle East (**2%**). The incoming MLA requests are predominantly linked to fraud, tax, and bribery and corruption.

Over the period between 2020 and 2025, around **10%** of requests received by the Income Tax Division (international cooperation team) related to TCSPs, a significantly lower number than for banks and insurance companies.

INVESTIGATIONS, PROSECUTIONS, AND CONVICTIONS

As discussed above, there has been an increase in the number of ML cases under investigation, with 25 over the period 2020–2024, **30%** of which relate to TCSPs. Current investigations indicate that complexity including obfuscated true beneficial ownership, complex layering through multiple jurisdictions, and the use of digital assets to hide criminal proceeds is a significant threat to the IOM. In 2024–2025, approximately **30%** of investigations relate to TCSPs.

There have, however, not been any criminal prosecutions or convictions during this period related to the TCSP sector.

COUNTRY EXPOSURE

The top jurisdictions for the principal activity[10] of companies after the IOM are the UK (**29%**), Ireland (**5.7%**), and the United States (**4.7%**). Some limited activity is conducted in the BVI (**1.8%**) (mostly linked to shipping) and South Africa ›

10 Principal activity may be: (i) the country in which a company is physically present and undertaking its activities; (ii) where its clients are based; or (iii) where its main suppliers are based.

(**0.7%**) both of which were "grey" listed by the Financial Action Task Force ('FATF') at the time that the industry data was collected and this risk assessment was drafted. South Africa has since been removed from the FATF list in October 2025, with a consequent reduction in IOM exposure to higher risk countries.

Outside of the IOM, the highest concentration of customer residence is the UK **(5%)**, Cayman **(4%)** and the BVI **(4%)**. There are limited connections also with Jersey, Guernsey, South Africa, Ireland, and the United States. As noted above, South Africa has since been removed from the FATF grey list, alleviating the risk somewhat.

The highest concentration of PEP nationality is in the UK **(19%)**, Saudi Arabia **(10%)**, Nigeria **(4%)**, the United Arab Emirates (UAE) **(7%)** and Bahrain **(3%)**.

In terms of PEPs by residence, the UK represents the largest concentration (**16%)**, followed by Saudi Arabia (**10%)**, the UAE **(7%)**, Nigeria **(4%)**, and Bahrain **(4%)**.

Further details and consideration are given to jurisdictional exposure, including to higher-risk countries in the ML NRA, which must be read in conjunction with this report.

12. ML Sector Vulnerability

OVERALL VULNERABILITY

The overall sector ML vulnerability for TCSPs has been assessed as Medium High (0.62), which reflects Medium High inherent vulnerabilities prevalent in the services identified below (0.75), partly mitigated by the AML control environment (0.58). Appendix IV provides a Vulnerability Map for the TCSP sector.

The WB Module 7A, Vulnerability of Designated Non-Financial Businesses and Professions, was used to assess the vulnerability of the TCSP sector. In order to support the 2025 assessment, the availability of significantly more detailed, granular, and extensive data topics and points was much more enhanced than previous NRAs. This has allowed us to conduct a robust NRA for this sector. The vulnerability of the TCSP sector considers inherent vulnerability variables and AML control variables. Inherent vulnerability variables relate to specific features and users of a particular part of the sector. AML control variables are factors that apply to all TCSPs and relate to the quality and effectiveness of the AML controls and therefore affect the vulnerability of the entire sector assessed.

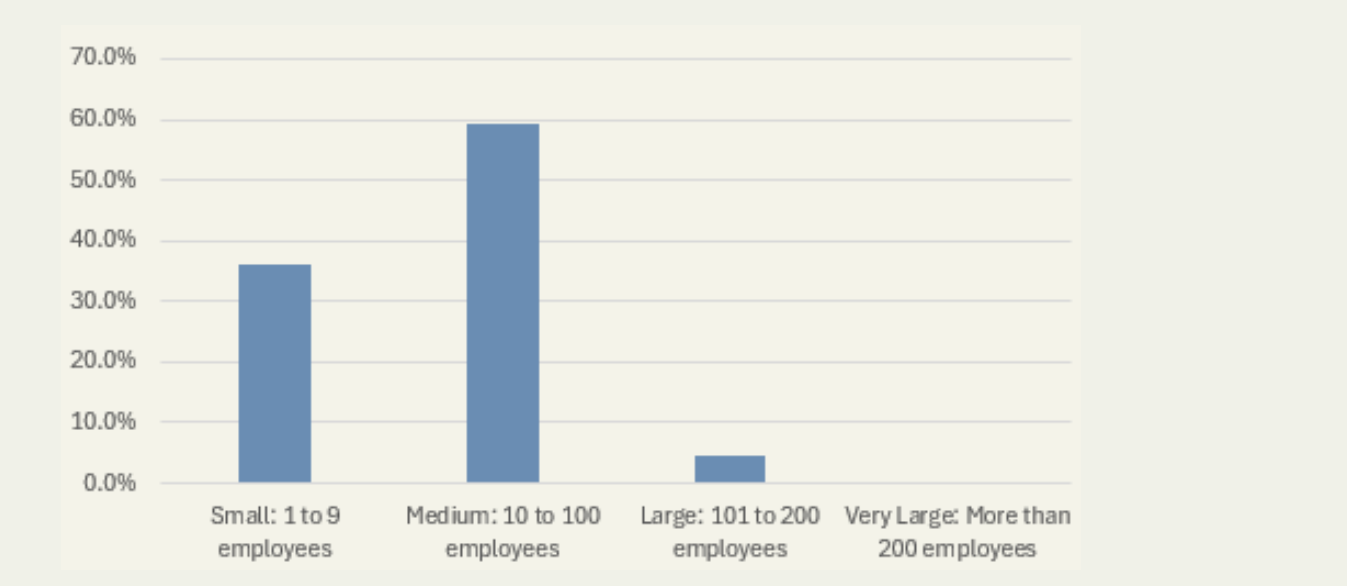
INHERENT VULNERABILITY VARIABLES

The inherent vulnerability score is based on a range of factors used in the module (for example, size and value of the sector, customer profile, typologies, and prevalence of complex structures; see **Appendix III**). The final vulnerability score is arrived at once the quality of AML controls (and any specific product-related AML controls) are taken into consideration – i.e. the mitigating factors. The assessment was informed by an exercise undertaken by the TCSP FCP (see **Section 8**).

The profile of ownership of TCSPs deserves further consideration, since it is not explicitly covered by the WB methodology:

Around **40%** of TCSPs in the IOM employ between one and nine staff. Smaller TCSPs may not have the economies of scale to invest in systems which larger firms may have. On the other hand, with smaller books of business, directors and senior management will be personally familiar with the entire customer base and risks can be managed on a more granular level. Approximately **10%** of TCSPs are private equity-owned. Private equity investors typically have a short-term (three-to-five-year) time horizon and typically aim for rapid growth and returns, which may not be aligned with long-term vision. On the other hand, private equity firms can offer injections of capital and may be incentivised to promote compliance to support subsequent sale of their investment. ›

Figure 12: The Size of TCSPs in the IOM



Source: FSA

INHERENT VULNERABILITY ASSESSMENT

As part of the inherent vulnerability assessment, an analysis of risk factors (as set out in the World Bank module 7A for designated business, including TCSPs) was undertaken. The sector is rated as having an inherent vulnerability score of 0.75 (**Medium High**). The main vulnerability factors (inherent and control) are:

- the total value of the sector, with **11%** employed and £67 billion of assets under administration (inherent vulnerability);
- a higher-risk customer base profile, including provision of services to foreign PEPs, non-natural persons, and the use of complex or seemingly complex structures (inherent vulnerability);
- the international nature of business, such as the non-face-to-face delivery of services, use of introducers, and the use of multi-jurisdictional structures (inherent vulnerability);
- the existence of ML typologies and fraud and tax evasion within the sector (inherent vulnerability);
- the robustness of systems and technology, including emerging risks relating to cyber and digital AI risk (control vulnerability)
- the people risk – shortage and retention challenges for qualified and experienced AML/CFT compliance staff across all seniority levels; vulnerabilities from outsourcing risk where AML functions might be outsourced to third-party service providers (control vulnerability).

TOTAL SIZE/VALUE

The TCSP sector is the sixth largest sector in terms of number of firms, value, and employment. Most customer relationships are related to the provision of services in respect of companies and trusts. Numbers of partnerships and foundations are low (as explained in the risk assessment for LPA) as shown in **Figure 12** above. This inherent vulnerability factor is assessed as **Medium Hgh.**

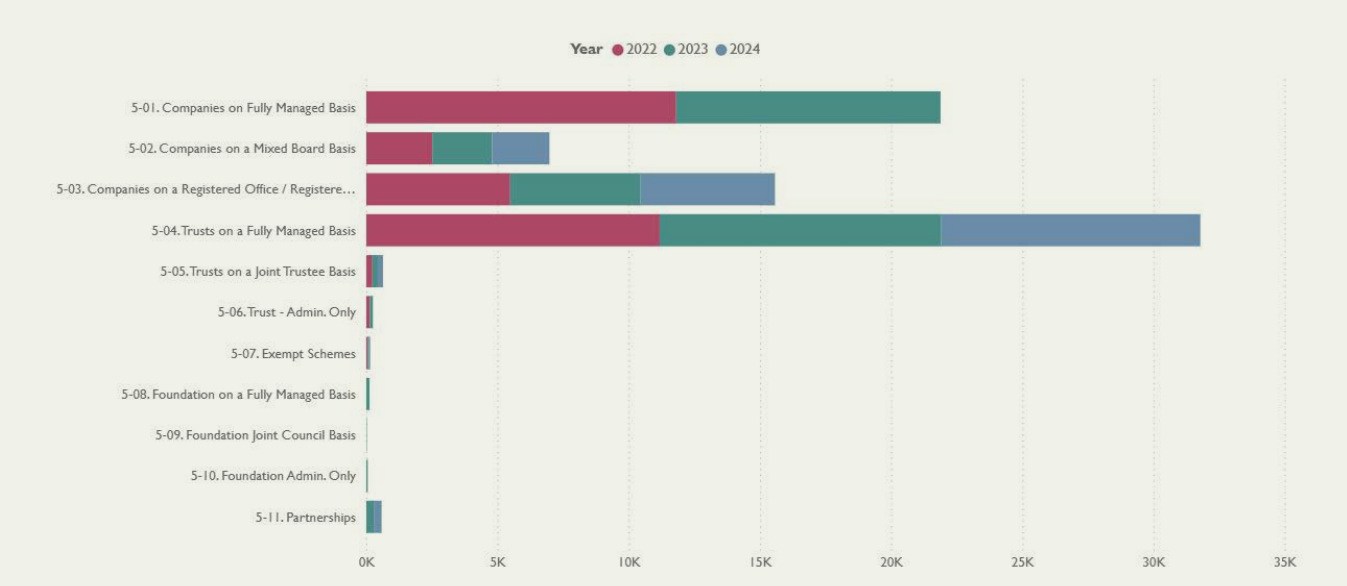
CUSTOMER BASE PROFILE, INCLUDING PREVALENCE OF PEPS

Most customer relationships are conducted on a fully managed basis and the market for the provision of limited services is relatively limited[11], as shown in **Figure 13**. This reduces the vulnerability of providing TCSP services as mixed boards, joint trusteeships, and registered office and / or registered agent services only are generally regarded as higher-risk services compared with fully managed trust and company boards. The elevated vulnerability in this area stems from the reduced level ›

11 In 2024, limited services were provided by TCSPs to around 13% of companies.

of control and oversight that TCSPs have in such cases, where external directors or trustees may exert significant influence over decision-taking. Similarly, the provision of registered office or registered agent services only limits visibility to operations, increases the risk of misuse, inadequate due diligence, or failure to meet legal obligations. Two TCSPs actively service this market, but most offer this service to some extent. There have been cases where registered agents have had very little knowledge of the company, records have been kept elsewhere, and when questions have been asked, services terminated.

Figure 13: The Range of Services Provided by TCSPs



Source: FSA

The data in the chart below indicates that the predominant services offered across the sector are fully managed companies and trusts, which are generally considered lower-risk. This is primarily because the TCSP maintains a high degree of control and oversight over these structures. In contrast, the sector engages less frequently in higher-risk services such as mixed company boards, joint trusteeships, and standalone registered office or registered agent arrangements.

Notwithstanding the above risk associated with service provision, the customer base profile for TCSPs is assessed as presenting an inherently high risk. To some extent, this reflects the IOM's business model, which services non-residents on a remote basis, sometimes with the involvement of introducers. However, it also recognises the higher jurisdictional risk that many customers present, a number presenting commercial or political risk[12] and using seemingly complex structures. In practice, around **30%** of customer relationships linked to companies and trusts are assessed as presenting a higher risk (amongst the highest of any sector). The situation for fully managed trust relationships is very different: just 10% of customers are assessed as presenting a higher risk. Having a higher risk brings with it enhanced CDD and ongoing monitoring requirements. A thematic review of business risk assessments is underway by the FSA, and a report setting out the findings will be published in 2026. ›

12 In 2024, commercially and politically exposed persons accounted for an estimated 15% of the total client base. Commercially exposed clients are those involved in arms/weapons trading, gambling, construction/development, dating/adult entertainment, import and export of goods, money service business, oil and gas, pharmaceuticals and healthcare, metals and stone mining/trading, shipping and transport of goods, and virtual assets. Foreign PEP and CEP risk is concentrated in the banking, insurance and TCSP sectors.

Figure 14: Top 10 Countries by Customer

Country	2022	Country	2023	Country	2024
Isle of Man	75.7%	Isle of Man	75.6%	Isle of Man	79.3%
United Kingdom of Great Britain and Northern Ireland	6.7%	United Kingdom of Great Britain and Northern Ireland	7.1%	United Kingdom of Great Britain and Northern Ireland	5.5%
Cayman Islands	4.6%	Cayman Islands	4.2%	Cayman Islands	4.0%
British Virgin Islands	4.4%	British Virgin Islands	3.2%	British Virgin Islands	3.8%
Jersey	1.1%	Jersey	1.0%	Jersey	1.1%
United States of America	0.9%	United States of America	0.9%	South Africa	0.8%
South Africa	0.8%	South Africa	0.8%	United States of America	0.8%
Guernsey	0.6%	Ireland	0.7%	Guernsey	0.6%
Ireland	0.5%	Guernsey	0.6%	Ireland	0.5%
Malta	0.4%	United States Virgin Islands	0.5%	Bahamas	0.3%
Bahamas	**95.7%**	**TOTAL**	**94.6%**	**TOTAL**	96.7%

Source: FSA

TCSPs report information to the FSA about the activity of customers and with an estimate of the value of customer assets managed. The most common customer activities (by number of companies) are: (i) acting as a holding company; (ii) holding shares or other investments; and (iii) holding commercial or residential real estate. Customers also hold cash, own aircraft or vessels, hold intellectual property rights, and offer consulting services. The data presents a useful starting point for identifying what assets are ultimately held in investment portfolios (and where) but reflects only the nature of the investment one level down. Notwithstanding, TCSPs in the working group explained that they would request information on activities from top to bottom in a high-risk structure. In the case of other structures, some hold information only on the next level down whist others require reporting on all activities at all levels.

A number of TCSPs offer specialist services to both licensed and unlicensed gambling operators, including the provision of directors. They also offer MLROs and provide policies and procedures. Where the operator is licensed the Gambling Supervision Commission ('GSC') undertakes checks on role holders (including those from TCSPs) that will be undertaking key roles within the operators, as well as conducting interviews to assess competence and skills for the roles. Although these checks are done and the operator is monitored through engagement by the GSC, this concept may still present a vulnerability within the sector due to numbers of roles the individuals may have across different operators and the touch points with both regulators in this area due to the interconnectivity of the sectors.

TCSPs may also offer services to exempt schemes. These are private collective investment schemes, the shares or units in which are made available only to fewer than 50 investors. Such schemes may present a higher vulnerability given that they are not required to register as funds (although the service provider to these exempt schemes must be regulated). There are around 80 such schemes, each with fewer than three investors. Despite this, there can be few links with the IOM, other than, provision of registered agent service or registered office address. If it is an IOM exempt scheme, although it is not required to hold a financial services licence under the FSA08, the AML/CFT Code continues to apply. Compliance with the AML/CFT Code may be checked as part of the customer file sample, which would be reviewed on a supervisory inspection to a TCSP. Accordingly, such relationships may present a higher vulnerability.

LEVEL OF CASH ACTIVITY

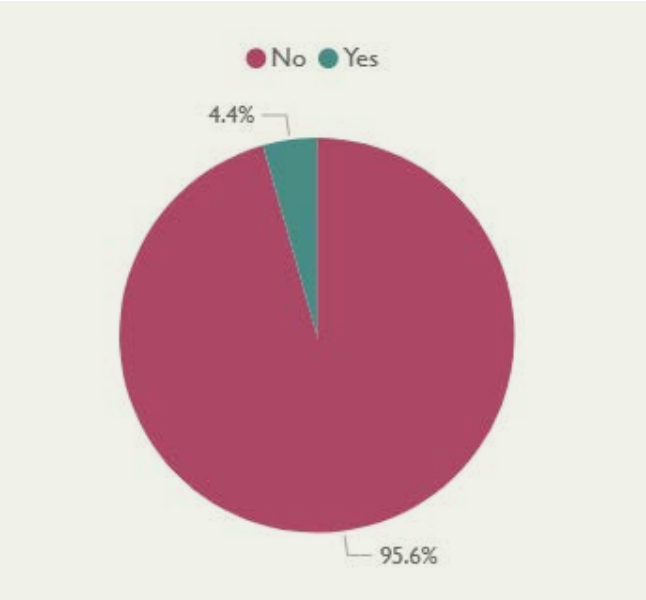
Only a very small number of firms (around **5%**) permit cash use, on an exceptional basis. This inherent vulnerability is assessed as **Medium Low.**

USE OF INTRODUCERS

TCSPs do not operate with fixed distribution channels. Instead, they rely on a mix of direct contact and referrals through existing customers and professional networks. Whilst a significant proportion of customer relationships are established remotely, the use of eligible introducers[13] by TCSPs to collect, hold, and pass on evidence of identity is no longer common given the conditions attached to use of the simplified measure in the AML/CFT Code (in line with FATF Standards). ›

13 Covered by para. 19 of the AML/CFT Code. Equivalent to reliance on third parties – governed under R.17 of FATF Recommendations.

Figure 15: Use of Eligible Introducers in the Sector



Source::FSA

Instead, greater use is made of introductions,[14] whereby third parties may be used to obtain information on customers, along with elements of customer due diligence, and to pass this to the TCSP. In 2024, use was made of introducers for about one-third of new customers. Introducers are most commonly used by TCSPs where limited services are offered, e.g. provision only of registered agent, and where seemingly complex structures are recommended by professional intermediaries outside the IOM. Detailed information is not held by the authorities on the profile of introducers, but **36%** are from outside the UK and IOM, including higher-risk jurisdictions. The TCSP must also conduct its own risk assessment on the introducer in line with the requirements in the AML/CFT Code.

The use of introducers within the sector is considered to present a **Medium Hgh** vulnerability.

ANONYMOUS/OMNIBUS ACCOUNTS

This inherent vulnerability has been assessed as not available as anonymous accounts are prohibited by the AML/CFT Code. However, it is worth noting that TCSPs may establish and operate pooled or omnibus accounts with banks in circumstances that make it impractical to set up a designated account. This means that most TCSP customers will be subject to a second complementary set of CDD measures, conducted by banks. Around **64%** of TCSP customer accounts are operated with banks in the IOM, which acts to further reduce the vulnerability associated with the use of such accounts. However, the FSA is aware that it can be challenging for TCSPs to obtain banking relationships for their customers in the IOM due to de-risking strategies. Without local banking support, this may mean increasing numbers of firms have banking relationships off-island, thereby potentially reducing regulatory oversight. This matter would need to be investigated further by the FSA in conjunction with relevant professional bodies of the Banking and TCSP sectors in order to limit vulnerability.

DIFFICULTY IN TRACING RECORDS

Except in respect of the provision of limited services, competent authorities have identified no difficulty in identifying TCSPs holding information and records that are needed for investigations which is mandated to be held, and for specified time periods, by the AML/CFT Code. Overall, it is considered that records are easy to trace.

EXISTENCE OF ML TYPOLOGIES, INCLUDING USE IN FRAUD OR TAX EVASION SCHEMES

Typologies are considered under **Section 9** (threats).
The vulnerability exists and is significant within the sector.

NON-FACE-TO-FACE BUSINESS

Whilst around one-third of customer relationships are established on a non-face-to-face basis (i.e. the customer is not met physically or online), data is unavailable on the extent to which TCSPs subsequently physically meet customers. Accordingly, the extent of the vulnerability cannot be fully quantified, though it is more likely that customers will be met in the case of fully managed relationships. In the current market, initial direct contact with customers is also becoming less common for TCSPs, with non-IOM professional advisors often managing the relationship with the customer. In the case of family offices, this does not prevent contact with main family members, who still tend to be met in person, and is not considered to significantly affect risk. ›

14 Covered by para.9 of the AML/CFT Code.

The use of real-time visual communication media over the internet, such as full-motion video conferencing, is treated as face-to-face conduct. When using such media to verify an individual's identity, it is necessary to clearly see the customer's face and their image on the document used to verify identity at the same time, in order to be satisfied that the identity document belongs to the customer and the customer is who they claim to be. A non-visual medium such as a telephone call does not qualify as meeting the customer.

Due to the availability of non-face-to-face relationships within the sector and the international nature of the customer base, this inherent vulnerability is assessed as available and prominent.

COMPLEX STRUCTURES

As part of the IOM's risk assessment of legal persons and legal arrangements, data has been obtained from TCSPs on complexity of structures. Recognising that there may be good reasons for seeming complexity, TCSPs consider that there is generally a good understanding of "vertical" risk (holding entities and subsidiaries), though TCSPs with higher risk tolerance may end up administering structures that are not fully understood. Legacy structures, particularly those picked up during acquisitions, can also present challenges, including when knowledgeable staff are not transferred with the book of business. Seemingly complex "vertical" structures are often used to hold real estate, yachts, and aircraft.

Overall, greater risk is presented by "horizontal" structures where: (i) TCSPs administer part of a structure which is spread out across multiple other jurisdictions (formation, location of asset holding, and intermediaries); (ii) multiple TCSPs may be involved (including in the IOM); and (iii) no one person (at least in the IOM) sees the whole picture.

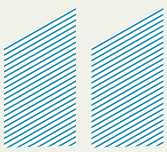
Structures can be highly technical, and customers are often advised by third parties (legal, tax, accounting, or other professionals) who instruct TCSPs to set up the necessary structures. The use of professional advisors based outside the IOM can add significant value to TCSP services but introduces the risk that complex structures are designed that are not fully understood or aligned with risk appetite (institutional or national). The experience and reputation of these intermediaries can differ markedly, impacting also the quality and consistency of customer onboarding. There are some limited "off the shelf" products developed within the IOM.

For both authorities and industry, the understanding of complex structures is good but still developing, which creates vulnerability. In particular, as a structure "taker", it is important to better understand who is advising on the creation of seemingly complex structures (structure-makers), where they are based, and what their appetite for risk is.

Complex structures are assessed as presenting a high inherent vulnerability.

AML CONTROLS ASSESSMENT

Assessment of control factors has changed little since the previous NRAs, reflecting the mature regulatory framework in place in the IOM. Although there are some action points arising, there are not any AML general control areas that require critical or urgent attention across the sector. A summary of the AML control scores and ratings is shown in **Figure 16** below. Also see the Vulnerability Map in **Appendix III.** ›



For both authorities and industry, the understanding of complex structures is good but still developing, which creates vulnerability."

Figure 16: A Summary of the AML Control Scores and Ratings

		TCSPs	
		Score	Rating
1	Comprehensiveness of the AML Legal Framework	0.7	High
2	Effectiveness of Supervision Procedures and Practices	0.8	Very High
3	Availability and Enforcement of Administrative Sanctions	0.8	Very High
4	Availability and Enforcement of Criminal Sanctions	0.6	Medium High
5	Availability and Effectiveness of Entry Controls	0.6	Medium High
6	Integrity of Regulated Entities' Staff	0.6	Medium High
7	AML Knowledge of Regulated Entities' Staff	0.6	Medium High
8	Effectiveness of Compliance Function	0.5	Medium
9	Effectiveness of Suspicious Activity Monitoring and Reporting	0.7	High
10	Availability and Access to Beneficial Ownership Information	0.7	High
11	Availability of Reliable Identification Infrastructure	0.7	High
12	Availability of Independent Information Sources	0.7	High

The commentary of each control area is set out below. ›

Comprehensiveness of the AML Legal Framework	Rating 2025	Rating 2015
- The Island has a comprehensive legal and AML/CFT regulatory framework in place, as evidenced by MONEYVAL and Group of International Financial Centre Supervisors (GIFCS) reports. The sector is supervised by the FSA for AML/CFT/CFP as well as other regulatory risk areas. - Extraterritorial legislation applied in other countries is also relevant, e.g. the "failure to prevent" offence in the UK's Criminal Finance Act 2017. - A risk assessment regarding the ML/TF/PF risk of the effect of exclusions and exemptions that are available to TCSPs is in the process of being finalised to ensure that these remain justified based on risk. A summary of this will be included in the Island's NRA. - Potential gaps in legislative provisions facilitating the sharing of relevant AML/CFT/CFP data within TCSP groups operating within a group structure require further examination. Although there may be a legislative gap, the FSA believes this would be done in practice. It is likely this is achieved in practice through group-wide data sharing agreements.	0.7 High	0.8 Very High

Effectiveness of Supervision Procedures & Practices	Rating 2025	Rating 2015
- A comprehensive AML/CFT onsite and offsite inspection programme is undertaken in line with the FSA's Supervisory Methodology (May 2023) (including inspections procedures) and the AML/CFT Engagement Model. Inspection and supervisory methods are publicly available and guided by internal policies and governance frameworks. Increasing amounts of data gathered via the AML/CFT return have informed the risk-based approach to supervision, complementing more general statistical information. Sector reports available on the FSA website share findings from some of the returns at a sector-wide basis and will be further updated in due course. - Further enhancements to data are being explored, including the collection of more granular data on assets (and location of assets) administered by TCSPs. - Focus on AML/CFT risk, including risk identified in the NRA, has improved, and there is good cooperation with prudential and conduct of business supervisory teams. The FSA seeks feedback from industry on its processes, including most recently in 2023. This has led to improvements in the inspections area. - Further consideration should be given by agencies and industry regarding the extent to which declined or terminated business continues to be serviced in the IOM or exits the jurisdiction. - The technical and human resources of the FSA for AML/CFT supervision have increased significantly. There is a dedicated AML/CFT Supervisory Division and staff receive regular training to enable them to undertake robust supervisory activities, including inspections.	0.8 Very High	0.7 High

Availability and Enforcement of Administrative Sanctions	Rating 2025	Rating 2015
- A comprehensive range of sanctions is available, including use of directions, licence conditions, utilisation of third-party reporting professionals, civil penalties, and suspension or revocation of a licence. These are applied alongside a full remediation plan agreed with the firm and monitored accordingly. Publicity is always given to the application of civil penalties. In practice, greatest use is made of conditions and directions. Civil penalties have been applied four times against TCSPs (available since 2019), including one penalty for £614,009, demonstrating proportionate and dissuasive use of the power. - Decisions on application of discretionary civil penalties follow established internal governance processes, including the published Enforcement Decision Making Process (August 2025). A guidance note has been published explaining the discretionary civil penalty framework. - According to an Island Global Research survey of industry participants, 91% of respondents indicated they were aware or very aware of these enforcement actions. Feedback from TCSPs is that they consider that civil penalties would be used in appropriate cases of non-compliance. - Civil penalties may not currently be applied to directors or key persons, and work is in progress to strengthen this framework. - The FSA has the power to prohibit any individual, including key persons, from undertaking any role within a TCSP (and power to warn on the use of this power). During the period under review, eight TCSP officers were prevented from working in the sector (out of 13 prohibitions in total). Individuals may also be disqualified from acting as director to an IOM or foreign company. This power has been used extensively, including in respect of one linked to a TCSP (out of eight disqualifications during the period under review). Prohibitions and disqualifications are listed publicly.	0.8 Very High	0.7 High

Availability and Enforcement of Criminal Sanctions	Rating 2025	Rating 2015
- A comprehensive range of criminal sanctions is available and may be applied to TCSPs and responsible individuals under the Proceeds of Crime Act and the AML/CFT Code, at levels intended to serve as a suitable deterrent. Offences under POCA include failure to report a suspicion as well "tipping off". - A process is in place for the formal adoption and progression of potential ML/TF/PF investigations through the Anti-Money Laundering Group and PIMLIT's Case Development Unit. - The framework governing criminal sanctions is robust and thorough, and appropriate specialist resources are available; however, as civil powers have been to date considered the most appropriate method of penalty, accordingly, this control has been assessed as Medium High rather than High, as criminal sanctions have not been applied to the sector during this period.	0.6 Medium High	0.5 Medium

Availability and Effectiveness of Entry Controls	Rating 2025	Rating 2015
- There is a well-established "fit and proper" registration regime in place for applicant TCSPs, controllers, directors, and certain controlled function roles (including a full criminality check for both local and foreign staff). However, the FSA is considering extending its access to additional databases and other tools to pick up additional adverse media, connections to criminals, or reputational issues on an ongoing basis. - Authorisation decisions are made by the Chief Executive or Head of Division of the FSA, with input from relevant senior managers and divisions as needed. - Checks at the time of licensing of an applicant TCSP are made to ensure that ML/TF risks are understood and that the necessary AML/CFT policies and procedures are in place. Further enhancements are planned in relation to the financial crime risk assessment that takes place at the licensing stage. - Robust steps are taken by the FSA to detect and highlight unauthorised activity.	0.6 Medium High	0.8 Very High

Integrity of Staff	Rating 2025	Rating 2015
- Generally, the level of integrity is high and there are strong entry controls in place requiring TCSPs to take measures to be satisfied with the integrity of new officers and employees. This is covered in practice through recruitment, training, performance management and protocols around systems access. This is in addition to requirements placed on staff to act with integrity. Whilst all TCSPs check criminal records at the time of recruitment, other checks, e.g. on civil and regulatory actions, are not undertaken as widely. Checks on financial standing are conducted by fewer than half of TCSPs. Most TCSPs screen on an ongoing basis. - TCSPs must notify the FSA in the event of failures in integrity for controlled function holders (e.g. criminal convictions, disciplinary measures, and fraud). Numbers of reports are low (4 reports in 2024) and declining. However, this may be due to: (i) a preference on the part of TCSPs to accept resignation of staff prior to completing disciplinary measures; and/or (ii) absence of measures to protect staff against the consequences of reporting failures in integrity. - Conflicts may be presented by: (i) lack of segregation of duties in smaller TCSPs; and (ii) remuneration linked to financial performance. - In a recent court case, an IOM-based defendant, the managing director of a TCSP, became the subject of the IOM's first bribery trial. They were accused of facilitating a bribe to a court official. The individual was acquitted. The case highlights the importance attached to integrity by the IOM authorities.	0.6 Medium High	0.7 High

AML Knowledge of Staff	Rating 2025	Rating 2015
- The FSA's Training and Competence Framework sets expectations for training and ongoing competence, especially for controlled function roles. Regulated businesses are advised to assess their own risks when applying the framework. Around 12% of TCSP staff act in compliance roles. The FSA has run sessions for both Directors and Heads of Compliance covering the role and importance of the compliance function; a recording is publicly available. - ML knowledge is considered by the authorities to be good. Under the AML/CFT Code, staff must be trained on at least an annual basis. Directors and key persons are also subject to continuing professional development standards (though these do not need to cover AML/CFT). The TCSP sector reported in 2024 that all staff had received annual training and around 500 had also received specialist ML training. However, some recent cases have: (i) identified areas of material non-compliance with AML/CFT requirements; and (ii) shown that the importance of training has not always been fully recognised by senior management.	0.6 Medium high	0.8 Very High

AML Knowledge of Staff (continued)	Rating 2025	Rating 2015
- It should be noted that the Association of Corporate Service Providers (ACSP) and Alliance of Isle of Man Compliance Professionals (AICP) have been working to provide increasing numbers of outreach sessions to the TCSP sector; however, industry representatives consider that locally-based general AML/CFT training provision is more limited, and external providers may not adequately cover IOM-specific scenarios. It should be considered whether the FSA and local associations and professional bodies can take action to fill this gap. - Discussions indicated that training that does occur typically covers transnational ML schemes and typologies involving TCSPs and products and services offered. However, it does not appear to adequately cover AML/CFT requirements in relevant foreign markets.	0.6 Medium high	0.8 Very High

Effectiveness of Compliance Systems	Rating 2025	Rating 2015
- Robust compliance requirements are in place, including (i) the appointment of a Head of Compliance at a senior level with direct access to the TCSP's board; (ii) requirement for monitoring plans to be commensurate to risk; and (iii) the FSA's Training and Competence Framework, which sets requirements in respect of ongoing training and competence (for all staff and key persons). - Second-line functions such as compliance and risk monitoring are generally present, though their maturity, independence, and effectiveness vary. - Three particular challenges are present: (i) recruitment of suitably qualified and experienced compliance professionals (which is also a common challenge in other jurisdictions); (ii) "tone at the top" in some smaller-sized TCSPs, where recognition concerning the value of the compliance function vies with the associated costs; and (iii) apparently limited use of an independent audit function to test the system in smaller TCSPs. However, it is important to note there would typically be an internal compliance monitoring programme. - Conflicts may be presented by lack of segregation of duties in smaller, low-impact TCSPs. - Some recent cases have identified areas of material non-compliance with AML/CFT requirements in various areas. The FSA will be issuing feedback on its supervisory work undertaken in 2024/2025 to assist the wider population of the sector with improving compliance.	0.5 Medium	0.7 High

Effectiveness of Suspicious Activity Monitoring and Reporting	Rating 2025	Rating 2015
- It is an offence if regulated TCSPs do not report suspicious activity, actual or attempted, regardless of the amount. This includes AML/CFT/CPF suspicions under POCA and the Anti-Terrorism and Crime Act 2003 (ATCA). Section 24 of the FIU Act 2016 allows TCSPs to report matters that may assist the FIU but are not seen as ML/TF matters. There is a well-established reporting framework in place, and also a requirement for ongoing monitoring of customers and transactions in order to identify suspicious activity and circumstances, and to keep records. - Smaller TCSPs do not always make use of sophisticated, automated screening systems, but apply other measures including event-driven reviews, periodic reviews, and non-automated screening. - The number of SARs has remained consistent in the past few years. The number and generally good quality of reports indicate a high level of effectiveness in reporting. The average FIU feedback score (out of 10) since August 2023 is 9.51 for the sector. The majority of reports clearly detail the reason for suspicion and provide necessary background information, supporting documentation, and evidence of additional research. The level of defensive reporting is low. - Around two-thirds of internal reports are externalised by the sector. - FSA inspections have identified that TCSPs do not always ask enough questions to properly understand the customer and their activity. Banks have also noted a gap sometimes between the information they expect and that TCSPs provide in terms of timeliness, quantity, and quality of CDD information. Further feedback will be provided to the sector on this. - Case studies and typologies have been prepared showing how TCSPs have reported suspected laundering of the proceeds of tax crime, corruption, and environmental crime in Appendix V.	0.7 High	0.6 Medium High

Availability and Access to Beneficial Ownership Information	Rating 2025	Rating 2015
- The AML/CFT/CPF regulatory framework requires TCSPs to collect details of the BO of their customers and take reasonable measures to verify this information. Information about the BO of companies and trusts, including those domiciled in the IOM, can be obtained by the TCSP either directly from the customer or through an introducer. If specific criteria are met, including ongoing testing and monitoring by TCSPs, it is permissible under the AML/CFT Code for a TCSP to rely on the eligible introducer to retain the verification documents related to the BO. - Access to BO information contained in company registers varies by country, as does the quality of the information. In December 2024, the IOM made its register accessible to TCSPs and other obliged entities. The FSA monitors compliance with the Beneficial Ownership Act 2017 (BOA) and evaluates whether relevant persons fulfil their BOA obligations. A methodology is followed for monitoring compliance by companies with registration requirements. At the present time, the FSA has focused on monitoring compliance by companies administered by TCSPs. The FSA applies remedial actions and sanctions where necessary (13 applied to three TCSPs to date). This promotes the accuracy and currency of BO data held in the IOM. - The Banking working group noted that there may be differences between the information banks look for and what TCSPs are sometimes able to provide for a number of reasons. For instance: • The bank provides services to a TCSP customer whose directors are often TCSP employees, so their requirements start from different perspectives. • Banks and TCSPs may approach assessments slightly differently as the nature of services are distinct. Updating customer information can sometimes require extra steps for TCSPs — for example, if the bank requests more recent evidence. - FSA supervision has generally found no specific shortcomings in how TCSPs identify and verify customers and BOs. The AML/CFT Handbook (the Handbook) offers detailed guidance on CDD. TCSPs in the IOM serve customers worldwide, so their business and customer risk assessments take this into account. Staff are trained to detect ID theft and fraudulent documents. Technology can also remove the need for certified document copies during onboarding. The Handbook provides detailed CDD guidance, including advice on use of electronic tools.	0.7 High	0.8 Very High

Availability of Reliable Identification Infrastructure	Rating 2025	Rating 2015
- FSA supervision has not identified any specific deficiencies within the TCSP sector linked to the verification of resident or non-resident customers, except for the possible sole use of documents acquired through "citizenship by investments schemes" by those holding dual nationality. Outreach has been provided to the sector on this matter. - TCSPs serve customers worldwide and their business and customer risk assessments take this into account. Staff are trained to detect identity theft and fraudulent documents. For non-resident customers, evidence of identity is now most often collected electronically (rather than through physical suitable certification) and use made of video calls and third-party sources to verify the authenticity of evidence. TCSPs face practical difficulties obtaining reliable identification documents from some parts of the world. The Handbook provides detailed CDD guidance, including advice on use of electronic tools. - The most common form of local photo identification for on-boarding purposes is a government-issued passport or IOM driving licence with supporting documentation. Stringent checks are conducted when applying for a first passport, and passports are printed in a secure facility in the UK. Less stringent checks are applied to issuing driving licences, given that they are not designed to be used as a form of identification. Their use may present some vulnerability. - The use of AI is increasing in relation to identifying customers which is likely to present increasing challenges for the sector.	0.7 High	0.7 High

Availability of Independent Information Sources	Rating 2025	Rating 2015
- The sources remain unchanged since the last NRA, with limited IOM-specific independent information available. - TCSPs have developed significant expertise in accessing external data sources to provide independent information on non-resident customers, particularly those customers resident in the UK. World-Check and other international databases are widely used to screen customers for PEP and sanctions connections, and adverse press, and are accessible globally. TCSPs may also use UK resources such as credit bureaus, government lists, Companies House, PEP information, and regulator registers. - IOM companies do not have to file financial statements, limiting the extent of information that is available to verify transactional patterns and commercial history. However, these may be accessed through the company itself.	0.7 High	0.7 High

13. Risks and Proposed Actions

As highlighted above, overall, ML risk in the IOM is assessed to be Medium High. There are several components to this risk assessment, and the following are of particular importance:

- Ownership of TCSPs includes many employing fewer than ten staff and around **10%** of TCSPs owned by private equity firms. Given the nature of ownership in both cases, shareholder interests may not always be properly balanced with interests of underlying customers.

- Notwithstanding the obligation to have an independent audit function to test AML/CFT systems, there appears to be limited use made of an independent audit, which is an important part of internal policies, procedures and controls. However, it is important to note there would typically be an internal compliance monitoring programme. The international standard does not call for an internal audit function to be established, rather some form of periodic external verification of the effectiveness of systems.

- Administered structures are predominantly devised by professional intermediaries outside the IOM who may not be familiar with the Island's risk appetite. Whilst TCSPs must ultimately decide whether to onboard such structures, insufficient information is held centrally about the role, objectives, and profile of these intermediaries and the risk that such structures may be used to evade taxation and/or sanctions.

- Whilst it is common for TCSPs to collect tax advice on structures where appropriate, and to refresh this periodically, or where there are triggers, the FSA should implement an approach for testing compliance of risk management in this area to mitigate the threat that the IOM may be used to evade taxation and/or sanctions.

- Around one-third of customers are not met (physically or virtually) at the time of onboarding, and it is not clear to what extent there is subsequent face-to-face contact with customers. Such contact not only supports the delivery of customer services but also provides an important opportunity to fully develop understanding of structure ownership and activities.

- Whilst the FSA now holds data on the types of assets held by companies and trusts under TCSP administration, this data does not allow the supervisor to fully understand the nature and location of all significant assets held in structures administered by TCSPs.

- A small number of TCSPs now offer specialist TCSP services to sectors that may present higher risks, such as to online gambling and VASP operators. Whilst such TCSPs are subject to supervisory engagement, there remains a vulnerability in this area.

Taking the above points into account, several areas have been identified where further improvement is advisable. These findings are closely aligned with the strategic objectives outlined in the National Financial Crime Strategy for 2024–2026. The proposed actions are detailed below, along with references to the relevant sections of this report. By addressing these areas, the sector and the authorities can continue to strengthen the framework against financial crime and ensure a robust, resilient approach to managing risk. ■

Public sector and industry work together to achieve a common goal of meeting international standards. See Sections 1.5, 1.6, 1.7, 7.5, 12

- As part of embedding the operation of the IOMFCP for the TCSP sector, a programme of preparing and publishing typologies using the collective experience of public and private partners should be developed. This will assist the sector to continue to improve, learn, develop, and maintain a robust control environment.
- To further enhance the understanding of complex structures, further typologies could be published and an additional national risk assessment analysis of complex structures with an IOM connection might be considered. In addition, any future data outreach requests to the TCSP sector should look at seeking further detail on these structures, so that a deeper understanding of all jurisdictions and asset types and locations is captured in the national data. The TCSP 2025 LPA Return did not seek details of every entity within all structures, which would have provided greater granularity on the ultimate asset, activity, and jurisdiction.
- The FSA should continue to work with the TCSP sector to ensure the data it receives is of good scope, quality, and accuracy. If required, the FSA should provide further guidance where reporting inconsistencies and anomalies are observed.

Actions are informed and driven by best practice and standards, both domestically and internationally. See Sections 1.5, 12

- The FSA should continue to conduct risk-based supervision on the sector, taking into account the findings from this NRA.
- The FSA should continue to regularly monitor entry controls in order to ensure they remain relevant and appropriate in respect of emerging typologies and evolving international standards.
- The FSA should further develop the ongoing screening of controlled function holders.
- Further improvements can be made which the FSA considers can be driven by the continuation of inspections and the publication of thematic and inspections results.

All stakeholders have the resources they need to effectively identify and respond to ML/FT/FP threats. See Sections 1.5, 2.1, 2.6, 7.7, 9, 10

- The sector should review the findings of this Money Laundering Risk Assessment and ensure that identified actions are adopted into business, customer, and technology risk assessments as appropriate. The sector should also review the Legal Persons and Arrangements Risk Assessment.
- Work should be undertaken to better understand and address areas that may present increasing vulnerability, notably the complexity of sanctions and developing and evolving technology risks (including evolving payment methods and AI).

Appendix I – Legal, Regulatory and Supervisory Framework[15]

- Anti-Money Laundering and Countering the Financing of Terrorism Code 2019 (AML/CFT Code) covering preventive measures
- Anti-Money Laundering and Countering the Financing of Terrorism Handbook 2025 which has extensive guidance concerning the Code
- Beneficial Ownership Act 2017
- Criminal Justice Acts 1990 and 1991
- Financial Intelligence Unit Act 2016
- Financial Services Act 2008
- Financial Service Rule Book 2016
- Proceeds of Crime Act 2008
- Terrorism and Other Crime (Financial Restrictions) Act 2014.



15 This is not an exhaustive list; it includes the most significant legislation and codes made under it.

Appendix II - Jurisdictions where countermeasures are required and those that may pose a higher risk

Throughout this document, consideration is given to the exposure that TCSPs and their customers may have to jurisdictions that are considered likely to be exposed to a greater level of money laundering threat. The Island has identified countries by the risk they pose:

- **'List A'** is a list specifying jurisdictions against which the FATF has made a call on its members and other jurisdictions to apply countermeasures to protect the international financial system from the ongoing and substantial risks of ML/TF emanating from the jurisdiction. List A currently comprises 3 jurisdictions.

- **'List B'** is a list specifying jurisdictions with strategic AML/CFT deficiencies or those considered may pose a higher risk of ML/TF. List B is made up of two lists:

  - **List Bi** – consists of countries that FATF has identified as having strategic AML/CFT deficiencies for which they have developed an action plan with the FATF. It also identifies a number of jurisdictions as not having made sufficient progress on their action plans agreed with the FATF;
  - **List Bii** - this section specifies additional jurisdictions that have also been identified as those that may pose a higher risk of ML or TF by the IOM Government. The list is prepared, in accordance with an established methodology, using data gathered from various commercial intelligence sources that cover ML, TF, crime, transparency, and bribery/corruption risk.

The June 2025 published lists were used for this document.

NON-HIGHER-RISK JURISDICTIONS:

- **'List C'** is a list specifying countries which are considered to have an AML/CFT regime of approximately equivalent standard to that of the IOM;

- **'List D'** – Disclosures within a "Group" List;

- Lists C&D are referred to as 'other' in some tables;

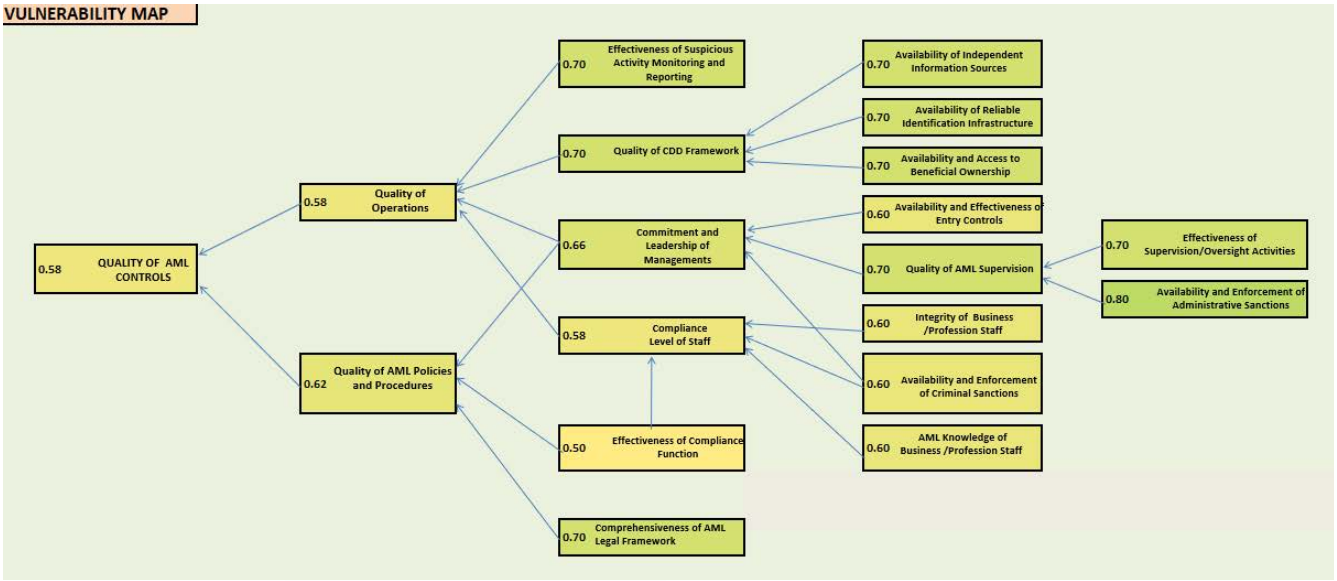
- Lists are published by the Department of Home Affairs and updated whenever changes occur;

- Industry is accustomed to updating their own systems and relevant procedures and controls using these Lists.

Appendix III- Inherent Vulnerability

Inherent vulnerability factors (for the business/profession	
Total Size/Volume of the business/profession	Medium High
Client Base Profile of the business/profession	High
Level of Cash activity in the business/profession	Medium Low
Other Vulnerability Factors - Use of agents in the business/profession	Medium High
Other Vulnerability Factors - Anonymous use of the product in the business/profession	Not Available
Other Vulnerability Factors - Difficulty in tracing the transaction records	Low / Easy to Trace
Other Vulnerability Factors - Existence of ML/Typologies in the abuse of the business/profession	Very high / Exist & Significant
Other Vulnerability Factors - Use of the business/profession in fraud or tax evasion schemes	Very high / Exist & Significant
Other Vulnerability Factors - Non face to face use of the product in the business/profession	High / Available and Prominent
Other Vulnerability Factors - Complex structures	High

Appendix IV- Vulnerability Map



Appendix V - TCSP Typologies

TAX

A regulated TCSP in the Isle of Man acts as the trustee of a trust formed in the United Kingdom. The trust holds the deeds to property in the United Kingdom, and the attached company receives rental income. Mrs Brown, the settlor/beneficiary, receives distributions from the trust. The TCSP as the trustee took tax advice when the 10th anniversary of the trust passed. Inheritance tax is charged on the net value of any relevant trust property every ten years in the United Kingdom. Mrs Brown disputed the fact inheritance tax was payable and took steps to remove the trustee. The TCSP submitted a SAR to the FIU suspecting Mrs Brown was attempting to evade paying inheritance tax and hiding this by removing them as the trustee.

BRIBERY & CORRUPTION

A trust company had been providing services to a customer since 2005. In 2007, source of wealth and source of funds enquiries were made with the customer following a purchase of a multi-million-pound property. Following a leak of documents which subsequently appeared on the International Consortium of Investigative Journalists website, the institution initiated a review of the customer's activities and circumstances and became suspicious that the source of funds for the property transaction may have been corruption offences. The trust company disclosed this to the FIU in a SAR.

USE OF TRUSTS FOR ML

An Isle of Man-based TCSP was approached to set up and administer several trusts for family members of the president of another jurisdiction. Open-source research revealed that the president was alleged to be linked to kleptocracy and stated he was engaged in a number of money laundering schemes using offshore companies/trusts. The Isle of Man-based TCSP declined the business suspecting the assets of the trust would have likely been generated illegally. The Isle of Man-based TCSP submitted a SAR to the FIU.

ENVIRONMENTAL CRIME

An IOM TCSP onboarded Turquoise Company, who purported to be an international furniture distribution company. The company was based in Europe but predominantly operated in Africa and Asia. During the process, the TCSP noted typical transportation and shipping invoices involved very heavy weights from Africa to Asia, not in keeping with furniture sales. Further open-source investigation revealed that some African transportation costs were from a haulage company in the Democratic Republic of the Congo who were linked with illegal deforestation and timber transportation. The TCSP formed the opinion that Turquoise Company was directly involved in environmental crime and furniture distribution was a front to launder the proceeds of crime. They declined the business and submitted a SAR to the FIU.

Glossary of terms

Key Agency/Term/Acronym	Meaning
AI	Artificial Intelligence
AML	Anti-Money Laundering
AML/CFT	Anti-Money Laundering and Countering the Financing of Terrorism
ATCA	Anti-Terrorism and Crime Act 2003
BO	Beneficial Owner
BOA	Beneficial Ownership Act
BRA	Business Risk Assessment
BVI	British Virgin Islands
CDD	Customer Due Diligence
CEP/CEPs	Commercially Exposed Person(s)
CFT	Combatting/Countering the Financing of Terrorism
CPD	Continuing Professional Development
CFP	Countering Proliferation Financing
AML/CFT Code	Anti-Money Laundering and Countering the Financing of Terrorism Code 2019
CRA	Customer Risk Assessment
DNFBPs	Designated Non-Financial Businesses and Professions
FATF	Financial Action Task Force
FCSB	Financial Crime Strategic Board
FIs	Financial Institutions
FIU	Financial Intelligence Unit
FSA/the Authority	Financial Services Authority
GBP	British Pound Sterling
Handbook	Anti-Money Laundering and Countering the Financing of Terrorism Handbook
HNWI	High Net Worth Individual
ICART	International Co-operation and Asset Recovery Team
IFC	International Finance Centre
IOM	Isle of Man

Key Agency/Term/Acronym	Meaning
IOMC	Isle of Man Constabulary
IOMFCP	Isle of Man Financial Crime Partnership
ML	Money Laundering
MLA	Mutual Legal Assistance
MLRO	Money Laundering Reporting Officer
NPO	Non-Profit Organisation
NRA	National Risk Assessment
OCG	Organised Crime Group
PEP/PEPs	Politically Exposed Person(s)
PF	Proliferation Financing
PIMLIT	Proactive International Money Laundering Investigation Team
POCA	Proceeds of Crime Act 2008
Mutual legal SAR/SARs	Suspicious Activity Report(s)
TCSP/TCSPs	Trust and Corporate Service Provider(s)
TF	Terrorist Financing
Themis	The FIU's online reporting mechanism, which is the single point of contact for regulated entities in relation to: reporting under the Proceeds of Crime or Terrorism Legislation; reporting under Section 24 of the FIU Act; reporting Sanction Breaches. Themis is also the tool the FIU use for communicating advisory notices and other pieces of information.
TRA	Technology Risk Assessment
UAE	United Arab Emirates
UK	United Kingdom
UNODC	United Nations Office on Drugs and Crime
USA	United States of America
USTD	Tether (a type of cryptocurrency)
WB	World Bank